



REVISION BUSINESS STUDIES

PAPER 1

10 SAMPLE PAPERS + ANSWERS

SAMPLE PAPER 1

565/1

BUSINESS STUDIES



1. Highlight four social responsibilities of a business to its costumers
(4mks)
outline four roles played by the government in creating of an enabling business environment
2. Give four measures that may be taken by the government to reduce income inequalities in a country
(4mks)
3. List four principles of a good tax system
(4mks)
4. List four stages involved in staffing as a function of management
(4mks)
5. Give four essential elements of a transport system
(4mks)
6. The supply schedule for Mr. Okutoyi is shown below

Price (Ksh)	quantity
2	40
5	200

 - (a) Calculate the price elasticity of supply
(2mks)
 - (b) Interpret the meaning of this elasticity of supply
(1mk)
7. Highlight four causes of demand pull inflation in an economy
(4mks)
8. List four disadvantages of buying goods on hire purchase terms over credit purchase
(4mks)
9. Outline four conditions which favour the use of personal selling as a strategy of product promotion
(4mks)
10. Highlight four barriers associated with written communication
(4mks)
11. The balance sheet of King Kong Enterprises as at 31st May, 2004 is given below

King Kong Enterprises

Balance sheet



as at 1st may 2004

ASSETS	KSH	LIABILITIES	KSH
Equipment	19,000	Capital	71,000
Delivery van	120,000	loan	120,000
Stock	36,000	creditors	19,000
Debtors	22,000		
Cash in hand	13,000		
	<u>210,000</u>		<u>210,000</u>

The following transactions took place in the business.

May 2, paid creditors by cheque Sh. 9000

May 3, debtors paid Sh. 18000 by cheque and Sh. 2000 in cash

May 4, the proprietor deposited Sh. 50,000 into the business bank account from a cash prize won in a competition

May 5, bought equipment Sh. 6000 and paid by cheque

May 6, paid a creditor Sh. 7500 by cheque

Required

Prepare the balance of the business as at 7th may 2004

(5mks)

12. The following information was obtained from Jakaila traders for the year ending 31st Dec, 2004

	Sh
Debtors balance on 1 st Jan 2004	24,000
Debtors balance on 31 st Dec 2004	72,000
Discount allowed	18,000
Return inwards	5600
Cash received from debtors	298,000
Debtors dishonoured cheque	18,000
Discounts disallowed	500

Required

Determine the value of credit sales for the period ending 31st Dec 2004

(4mks)



13. Enter the following transactions in the ledger accounts of Onyango Traders for the month of May 2004.

(4mks)

- May 1: Started business with Sh. 150,000 cash
2: Bought goods on credit from Kamau for Sh. 40,000
4: Sold goods for cash Sh. 34,500
5: Returned some of the goods purchased from Kamau for Ksh. 4,500

14. Record the following transaction in the cashbook of Ole Polos traders for the month of January 2005 and balance it off.

1st Jan: Cash in hand Sh. 10,000, cash at bank Sh.

20,000

10th Jan: Paid by cheque Kamau Sh. 8,800 and Mogaka Sh. 11,000 after deducting 12% cash

discount in each case

30th Jan: Banked all the cash leaving Sh. 1200 in the cash till

(5mks)

15. Majengo wholesalers operates with the following ledgers. Sales ledger, cashbook, nominal ledger, and general ledger. State the ledger in which the following accounts would be found. (4mks)

Account	Ledger
Sales	
Purchases	
Debtors	
Creditors	
Capital	
Salaries	
Commission received	
Bank	

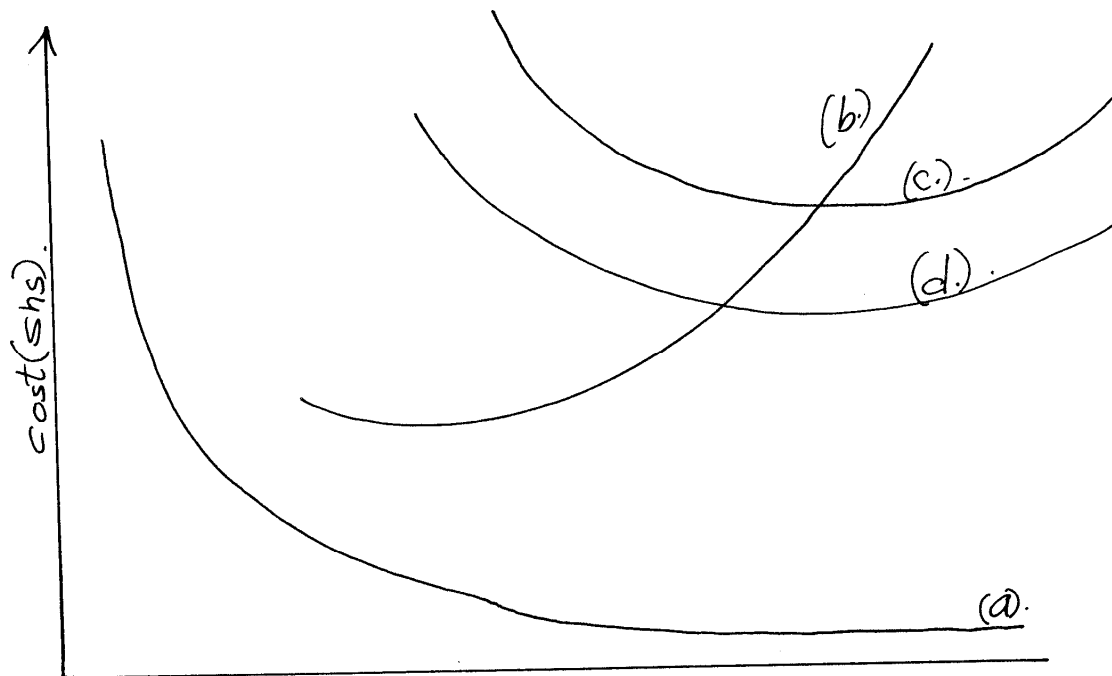
16. Complete the following table by indicating the account to be debited and one to be credited (4mks)

Transaction	Account DR	Account CR
i) Bought a delivery van on credit from general motor		



Ltd		
ii) Yialie, a proprietor converted private furniture into a business asset		
iii) Withdrew cash from bank for business use		
iv) Sold furniture and payment received by cheque		

17. The graph below represents cost curves between various cost curves in a firm



Name the cost curve labeled

(4mks)

18. State the role of business community in environmental and community health

management (4mks)

19. List four errors that will not affect the agreement of the trial balance

(4mks)

20. Outline four benefits of a bonded warehouse to the government

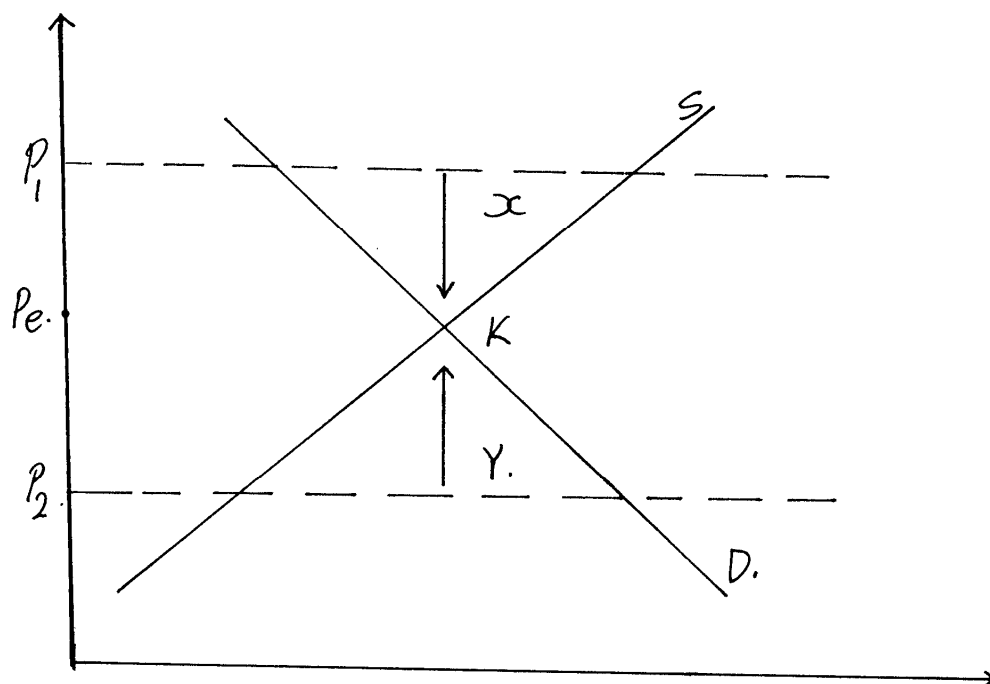
(4mks)

21. Outline four ways in which a trading account is important to a business

(4mks)



22. Outline three ways in which the international bank for reconciliation and development (World Bank) promotes international trade
(3mks)
23. Highlight four negative implications of a rapid population growth in developing countries (4mks)
24. The diagram below shows movement of price towards equilibrium. Study it and answer the questions below.



Identify the region marked

- (a) x
- (b) y
- (c) (ii) Name the point marked K

(3mks)

MARKING SCHEME

SAMPLE PAPER 1

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BUSINESS STUDIES



1.
 - i) Giving consumers quality products
 - ii) Giving consumers safe products
 - iii) Advising consumers about products and their use
 - iv) Being fair in the quantity and pricing
 - v) Avoiding misleading advertising
 - vi) Availing goods to consumers and making affordable to consumers
 - vii) Proper labeling, packaging and presentation of products
 - viii) Responding to consumers complaints
 - ix) Conducting research before allowing a product in to the marketAny
2.
 - i) Passing legislation that support and promote business activities
 - ii) Providing incentives to encourage investments e.g. Subsidies, tax exemption
 - iii) Provision of credit through governments institutions e.g. KIE, ICDC
 - iv) Creation of a pool of trained / qualified/ skilled manpower
 - v) Provision of security
 - vi) Ensuring there is political stability and good will
 - vii) Provision of infrastructure e.g. roads to cost of production
 - viii) Promotion of locally produced goods and services
 - ix) Liberalization of marketing and communication services
 - x) Facilitating the marketing of produce
3.
 - i) Fixed minimum wages
 - ii) Graduated income tax

Higher taxes on luxuries

Establish social security scheme which will guarantee minimum standard of economic well being

Equality of opportunity i.e. avail equal opportunity to all individuals

 - vi) Equitable distribution of national resources
4.
 - i) Equality
 - ii) Certainty
 - iii) Convenience
 - iv) Economical
 - v) Flexibility



- vi) Diversity
 - vii) Elasticity
 - viii) Simplicity
5. i) Recruitment
ii) Selection
iii) Hiring and placement
iv) Training and development
6. i) Unit of carriage
ii) Method propulsion
iii) Ways
iv) Terminal
7. Proportionate change in quantity
Proportionate change in price
Prop Δ in quantity = $\frac{200-40}{40} = \frac{160}{40} = 4$
Prop Δ in price = $\frac{5-2}{2} = \frac{3}{2} = 1.5$
$$= \frac{160}{40} \times \frac{3}{2} = 8 \times \frac{3}{2} = 12$$
- b) Elasticity of supply is Elastic i.e. it is greater than 1
8. i) Increase in total expenditure
ii) Fall in the level of saving
iii) Increase in money supply
iv) Expectations of price increases
9. i) The buyer does not become the owner of the goods
ii) The buyer cannot resell the goods
iii) Hire purchase price is higher
iv) Goods can be repossessed
10. i) Availability of adequate resources
ii) Concentrated and easily accessible markets
iii) High unit value of the product
iv) Products whose use need to be demonstrated
v) Suitability of a product to individual needs



- vi) Introduction of a new product in a market
11. i) Unfamiliar language/ technical terms
- ii) Inability to read
- iii) Blindness/ visual impairedness
- iv) Unfamiliar subjects
- v) Level of language used (Difficult)

12. **KING KONG ENTERPRISE**
BALANCE SHEET
AS AT 7th MAY 2004✓

<u>ASSETS</u>	<u>Shs</u>	<u>Shs</u>	
<u>Fixed assets</u>			
Equipment	25000✓		CAPITAL 121,000✓
Delivery van	<u>120,000</u> ✓		
145000			
<u>Current assets</u>			<u>Long term liabilities</u>
Stock	36000✓		Loan 120,000✓
Debtors	2000✓		<u>Current liabilities</u>
Bank	58500✓		Creditors 2500✓
Cash	<u>2000</u> ✓		
<u>98500</u>			<u>243500</u>
<u>243500</u>			

13. **TOTAL DEBTORS ACCOUNT**

DR	CR	SHS
SHS	Receipts from debtors	
Bal b /d	298000✓	
24000✓		
Debtors dishonored cheque	Discount allowed	
18000✓	18000✓	
Discount allowed	Return inwards	
500✓	5600✓	



Credit sales	Bal c /d
<u>351,100✓</u>	<u>72000✓</u>
	<u>393600</u>
<u>393600</u>	

Or

Shs

Debtors closing balance	72000✓
Add: Receipts from debtors	298000✓
Discount allowed	18000✓
Return inwards	<u>5600✓</u>
	393600

Less: Debtors opening balance 24000✓

Debtors dishonored cheque 18000✓

Discount allowed 500 ✓ 42500

Credit sales 351100✓

14.

CAPITAL ACCOUNT

	SHS
CASH	150000✓

CASH ACCOUNT

SHS	
Capital	
150,000✓	
Sales	
34,500✓	



PURCHASES ACCOUNT

SHS	
Kamau (Creditor)	
40,000✓	

CREDITOR (KAMAU) ACCOUNT

SHS	SHS
Purchases	40,000✓
Return inwards	
4500✓	

SALES ACCOUNT

	SHS
	Cash
	34,500✓

RETURNS OUTWARDS ACCOUNT

	SHS
	Creditor (Kamau)
	4500✓

OLE POLOS

15.

THREE COLUMN CASH BOOK

DATE	DETAILS	DISC ALL	CASH	BANK	DATE	DETAILS	DISC ALL	CASH	BANK
1/1/05	Bal b /d		10000	20000	2005				
					10 th Jan	Kamau	1200		8800
					“	Mogaka	1500		11000
30 th / Jan	CASH			8800	30 th Jan	BANK		8800	
						Bal c /d		<u>1200</u>	<u>9000</u>
			<u>10000</u>	<u>28800</u>				<u>10000</u>	<u>28800</u>
	Bal c /d		1200	9000					

- | | <u>Account</u> | <u>Ledger</u> |
|-----|--|------------------------|
| 16. | | |
| | i) Sales | Nominal |
| | ii) Purchases | Nominal |
| | iii) Debtors | Sales |
| | iv) Creditors | Purchases |
| | v) Capital | General |
| | vi) Salaries | Nominal |
| | vii) Commission received | Nominal |
| | viii) Bank | Cash book |
| 17. | Account debit | Account credit |
| | i) Motor vehicle account | General motors account |
| | (Creditors account) | |
| | ii) Furniture account | Capital account |
| | iii) Cash account | Bank account |
| | iv) Bank account | Furniture account |
| 18. | a) Average fixed cost | |
| | b) Marginal cost | |
| | c) Average variable cost | |
| | d) Average total cost | |
| 19. | i) Ensuring the cleanliness and beauty of their business premises | |
| | ii) Ensuring they participate in environmental conservation activities | |
| | iii) Recycling and processing their product to ensure that they are harmless to environment and community health | |
| | iv) Sponsoring the beautification and cleanliness of the environment | |
| | v) To partner with stake holders to ensure a clean environment and good community health | |
| 20. | i) Error of original entry | |



- ii) Error of principal
 - iii) Error of omission
 - iv) Error of commission
 - v) Complete reversal of entries
 - vi) Compensating errors
- 21.
- i) Revenue to the government e.g. duty on goods
 - ii) Enable government to check entry of harmful goods
 - iii) Enable government to verify documents for goods on transit
 - iv) Enable government to check on quantity of goods imported
 - v) Enable it to inspect type or nature of goods imported
 - vi) Enable it to check entry of illegal goods into the country
- 22.
- i) Enables a business to determine the cost of goods sold
 - ii) Enables the business to determine the revenue generated from the sale of stock
 - iii) Enables a business to determine the profit/ loss from the sale of stock
 - iv) A decision making tool
 - v) Help in preparation of final accounts
- 23.
- i) It provides loans that are used in financing a B.O.P deficit
 - ii) It promotes foreign investment in developing countries
 - iii) Promotes economic stability
 - iv) Provides technical assistance
- 24.
- i) Reduces per capital income
 - ii) Increased dependency ratio
 - iii) Reduces saving and investments
 - iv) Leads to unemployment and under employment
 - v) Pressure on social amenities
 - vi) Inequitable distribution of income
 - vii) Leads to over exploitation of nature resources/ environmental degradation
- 25.
- X – Excess supply
 - Y- Excess demand



K- Equilibrium point

SAMPLE PAPER 2

565/1

BUSINESS STUDIES

1. Highlight on any four causes of business failures in Kenya.

(4mks)

2. Cite four features of economic resources.

(4mks)

3. Below are some of the factors that influence the operations of a business.

Indicate with a tick

(√) in the appropriate column the business environment associated with each of the factors mentioned.

(4mks)



Factor	Internal environment	External Environment
(i) Objectives and goals		
(ii) Technology environment		
(iii) Financial resources		
(iii) Political will		

4. Identify four types of cash terms of payments.

(4mks)

5. State four essential components for communication to take place.

(4mks)

6. State four factors limiting geographical mobility of labour.

(4mks)

7. State four characteristics of ordinary shares.

(4mks)

8. Give four factors that influence the choice of distribution channel.

(4mks)

9. The following information relates to business W,X,Y and Z

Business	Assets	Liabilities	Capital Shs.
W	350,000	W	150,000
X	X	160,000	240,000
Y	800,000	450,000	Y
Z	700,000	Z	280,000

Determine the figures represented by W,X,Y and Z in the table.

(4mks)

10. Name the ledger in which each of the following accounts can be found.

(4mks)

Account

Ledger

(a) Motor vehicle account

.....

(b) Debtors accounts

.....

(c) Creditors accounts

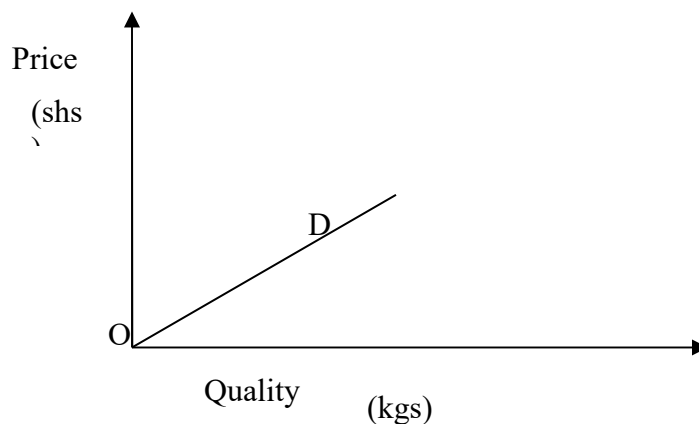
.....

(d) Bank account

.....



11. The diagram below represents a demand curve for a product.



- (a) Identify the nature of the demand curve represented by the diagram. (1mk)
- (b) List three factors that may account for the nature of the demand curve represented above.

(3mks)

12. Highlight the factors to be considered when constructing consumer price index.(4mks)
13. State the objectives of export processing zones. (EPZ). (4mks)
14. Identify the international trade documents that relate to the following statements.
- (a) Indicate the country of origin of imported goods.....
- (b) Is a document of title to the goods traded in international trade.....
- (c) Used to demand payments before delivery of goods.....
- (d) Facilitates an importer to obtain credit.....
15. Differentiate between 'incidence of tax' and 'impact of tax'. (4mks)
16. Outline four sources of a business idea. (4mks)



17. The following purchases returns were made by Borabu Traders in the month of February 2005.

Feb. 4 Returns to Sam worth sh. 1,000 Credit note 123, to Kambi suppliers worth shs. 2,000 credit note 264.

Feb 20. Returns to Omache wholesalers' goods worth sh. 500, credit note 289, Kambi suppliers, worth sh. 1000 credit note 362.

Post the information to the purchases returns journal.

(4mks)

18. The following balances were available for Anyimu's grocery shop on 31st December 2004

Capital	sh. 20,000
Bankloan	sh 20,000
Stock	sh. 12,000
Cash in hand	sh. 20,000

Draw the balance sheet following the order of liquidity.

(4mks)

19. (a) Define the term "value added" as used in business studies. (1mk)

(b) Determine the value of the missing values marked. 'a', 'b', and 'c' in the table below. (3mks)

	Factory 1	Factory 2	Factory3
Product	X	Y	Z
Price (shs)	500	(b)	14,500
Value added	(a)	3,500	(c)

a. =

b. =.....

c. =.....

(3mks)

20. For each of the following transactions given below, indicate in the appropriate columns, the source document and the book of original entry in which the transaction should be recorded.

(4mks)

Transaction	Source document	Book of original
-------------	-----------------	------------------



		entry
a) Purchase of goods on credit		
b) Sale of desks on credit		
c) Payment to a creditor		
d) Goods returned by a client		

21. Cite four reasons why business persons prefer mobile phones to land lines as a means of communication.
(4mks)
22. (a) Explain the term 'demand for money' (1mk)
(b) State the motives which underlie the demand for money in an economy.(3mks)
23. Highlight the service offered by the wholesaler to the retailer.
(4mks)
24. Highlight four ways in which clothing satisfies human wants.
(4mks)
25. Outline four sources of Oligopoly powers.
(4mks)



SAMPLE PAPER 2
MARKING SCHEME
565/1
BUSINESS STUDIES

1.
 - i) Wrong choice of business
 - ii) Poor management skills
 - iii) Poor customer relations
 - iv) Poor selling strategies
 - v) Poor business planning
 - vi) Poor time management
 - vii) Poor record keeping skills
 - viii) Poor pricing policies
 - ix) Poorly qualified staff
 - x) Limited (business) finances

2.
 - i) They are scarce / limited
 - ii) They have a monetary value
 - iii) They have alternative uses
 - iv) They are unevenly distributed from one place to another
 - v) They have utility, which is the ability of being useful
 - vi) They are transferable from one party to another.



3.

Factor	Internal environment	External environment
i)	✓	
ii)		✓
iii)	✓	
iv)		✓

(4mks)

4. i) Spot cash

- ii) Cash on Delivery (COD)
- iii) Cash with order (CWO)
- iv) Prompt cash

5. i) The sender

- ii) The channel
- iii) The message
- iv) The receiver

6. i) Family and social ties

- ii) Ignorance of existing job opportunities
- iii) Cost of movement to other regions is high
- iv) Prejudice / Negative attitude of some people to some regions
- v) In availability of amenities e.g. residential houses

7. i) Have voting rights- They are hence called equity shares

ii) Have no fixed rate of dividends. The dividends on them vary according to the amount of profits made.

iii) They have a claim to dividends after the preference shares

iv) If the company is being liquidated they are paid last after the preference shares

vi) Are irredeemable

vii) Ordinary shares are not attached to any security



8. a) The nature of the good / product

 b) Nature of the market
 c) The nature of competition
 d) Government policy
 e) Cost
9. i) W- 200,000
 ii) X – 400,000
 iii) Y – 350,000
 iv) Z- 420,000
- 10 a – Real accounts
 b- Personal accounts
 c- Personal accounts
 d- Real accounts
- 11a). Abnormal demand curve
- b)i) Goods of ostentation/ prestige
 ii) Inferior goods
 iii) Giffen goods
 iv) Expectation of future shortages
 - Expectation of further increases in prices
 - Necessities
 - Habitual goods and services
12. i) Selection of the commodities (basket of commodities)

 ii) Choice of the base period
 iii) Price of the commodity during the current period
 iv) Choice of the average to be used
13. i) To increase productive capital investment



- ii) To generate employment opportunities
 - iii) To encourage the transfer of technology
 - iv) To develop backward linkages
 - v) To diversify export of products and markets
14. a) Certificate of origin
b) Bill of lading
c) Pro forma invoice
d) Letter of credit
15. i) Means the final resting place of the tax or who has to bear the burden of this tax
- ii) Is the point at which the initial burden of tax falls
16. a) Newspapers / magazines
b) Shows and Exhibitions
c) Hobbies
d) Vocational Training and Experience
- Surveys
- 17.

Purchases returns journal

Date	Details	Credit note number	Folio	Amount Shs
2005				
Feb 4	Sam	123	PL1	1,000
4	Kambi suppliers	264	PL3	2000
20	Omache wholesalers	289	PL4	500
20	Kambi suppliers	362	PL3	1,000
28	Total purchases for returns account (Cr)	February posted	to the GL.	purchases 4500



18. **Anyimu's Grocery shop**

Balance sheet at 31st Dec 2004.

<u>Current Assets</u>	Sh	<u>Current liabilities</u>	Shs
Sh		Bank loan	20,000 ✓
Cash in hand	20,000		
Stock	<u>12,000</u>	Capital	<u>20,000</u> ✓
32,000✓			
<u>Fixed assets</u>			<u>40,000</u>
Premises			
<u>8000</u> ✓			
<u>40,000</u>			

19. a) “Value added” – is the net contribution to the product by each firm involved in the production process/ hence is the value of a firm's output less what that firm has paid to other firms for inputs in the production or/ it measures the value of total national output by summing up the net contribution of all individuals firms at each stage of production

20

Source document	Book of original entry
a) Invoice received	Purchases journal
b) Invoice issued	General journal
Receipts / cash sale slips	Cash book / cash payment journal
c) Credit note received	Sales returns journal

21. i) - Business people can be contacted any time (24hrs).
- ii) - Both the sender / caller and the receiver can identify each other
- iii) - Business person can make or receive calls anywhere with network



- iv) - Mobile phones are portable
- v) - It is easier to get connected
- vi) - Faster one, does not need to pass through operator
- vii) - Cheaper to operate, no fixed monthly charges
- viii) - Mobile phones can be used to store important telephone contacts and other messages

(SMS)

22.a) Demand for money refers to liquidity preference , i.e the desire to hold money instead of other assets.

- b) i) Transactive motive – for day to day purchase of goods and services or desire to hold money in cash to meet daily expenses for purchases
- ii) Precautionary motive- meeting unforeseen contingencies, such as illness & accidents.
- iii) The speculative motive – related to the rate of interest and bond prices both current and future.

- 23.
- i) Buying
 - ii) Breaking of bulk
 - iv) Storage
 - v) Variety of goods
 - vi) Financing
 - Transportation
 - Advice

- 24.
- i) Provides warmth
 - ii) Makes one smart
 - iii) Cover nakedness
 - iv) For easy identification- professional and gender
 - v) Protects one from biting insects

- 25.
- i) Huge capital requirement acting as a barrier to many other firms
 - ii) Control of source of raw materials being with a few firms
 - iii) Aggressive entrepreneurs employ ruthless strategies forcing their rivals to leave the industry
 - iv) Where a few firms hold patent rights relating to production techniques of particular products



- v) Mergers and takes over which remove numerous small entrepreneurs out of business

SAMPLE PAPER 3

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Paper 1



1. Outline four reasons for establishment of a business enterprise.
4mks
2. Identify four documents used in the delivery process in home trade.
4mks
3. Outline three basic qualities of an office worker.
3mks
4. Outline four ways in which the government influences the quantity of a commodity supplied.
4mks
5. Highlight four factors that may be used in determining the size of a firm.
4mks
6. Outline four uses of a general journal.
4mks
7. Identify four type of taxes levied on businesses in Kenya.
4mks
8. The Central Bank is a banker to the government. Outline four banking services that it provides to the government.
4mks
9. The following information was extracted from the books of Kabila Traders for the year ended 31st December, 2003.

	shs
Capital on 1 st January 2003	270,000
Capital on 31 st December 2003	320,000
Drawings during the year	100,000
Additional capital introduced during the year 2003	30,000
Calculate Kabila Traders Ltd's profit or loss for the year ended 31 st December 2003	

3

mks

10. Identify four sources of monopoly powers.
11. Under what circumstances would a common carrier refuse to transport goods of a particular trader
4mks



12. Highlight four advantages of hire purchase to the seller.

4mks

13. The following balances were extracted from the books of Njoroge traders on 31st May 2004.

	Shs
Creditors	62,500
Stock	2,000
2 years bank loan	40,000
Bank	160,000
Cash	20,000
Premises	800,000

Prepare his balance sheet

4mks

14. Record the following transactions in the relevant ledger accounts.

2004

June 1 Ochieng started a business with shs.50,000 cash

“ 4 Bought office equipment for shs. 2,000

“ 6 Deposited shs.12,000 into the business bank account

“ 8 Bought stock for the shs.10,000

(Balancing of accounts not required)

4mks

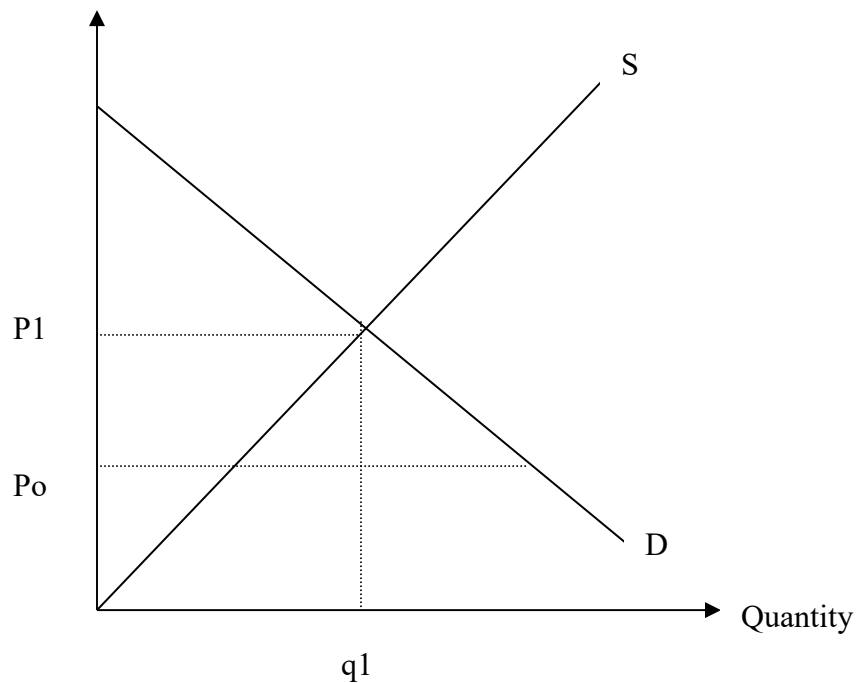
15. Differentiate between circular letters and Memoranda.

4mks

Letters	Memoranda
i)	i)
ii)	ii)
iii)	iii)
iv)	iv)

16. The following diagram represents the demand and supply of a commodity.

Price



State four effects of fixing maximum price at P_0 .

4mks

17. Outline four characteristics of insurable risks.

4mks

18. Outline four factors to consider when deciding on an ideal office layout.

4mks

19. The following information was extracted from the books of Bondo Traders as at 31st December, 2004.

	Shs
Opening stock	2,500
Purchases	46,000
Closing Stock	1,500
Mark up	20%



Prepare a trading account.

4mks

20. The following transactions relate to Kabala Traders for the month of December, 2004.

2nd December: Cash sales shs. 30,000

8th December: Banked sh. 15,000

10th December: withdrew sh. 10,000 from bank for office use.

Prepare a cash extract.

5mks

21. Identify four advantages of export processing zones to a country.
4mks
22. Outline four benefits that a country gets by being a member of the international monetary fund (IMF)
4mks
23. Identify four short falls of after sales service as a method of sales promotion to the buyers. 4mks*BND*
24. State four circumstances under which a country's terms of trade would be unfavourable.

4

mks

25. The following assets and liabilities were available as at 1st January, 2005.

Shs

Cash in hand	43,000
Furniture	19,000
Telephone bills due	3,000
Rent outstanding	8,000
Electricity prepaid	4,000
Debtors	19,000

Prepare a statement of affairs as at 1st January 2005.

4mks



MARKING SCHEME.

SAMPLE PAPER 3

1. i) Profit generation / maximization

 ii) Creation of employment
 iii) provision of goods and services.
 iv) For prestige / enhancing own image
2. i) Delivery note
 ii) Packaging sheet
 iii) Consignment note
 iv) Advice note
 v) Invoice
3. i) Personal attributes
 ii) Office etiquette



- iii) Individual knowledges, skills and experiences
- 4. i) Taxes
 - ii) Subsidies
 - iii) Quotas
 - iv) Price control
- 5. i) Number of employees
 - ii) Volume of output
 - iii) Floor area covered by premises / size of land occupied
 - iv) Capital invested
 - v) Production methods / techniques / technology
 - vi) Market served / size of market.
 - vii) Sales volume
- 6. i) Purchase of fixed assets on credit
 - ii) Sale of fixed assets on credit
 - iii) Correction of errors
 - iv) Writing off bad debts
 - v) Recording opening entries
 - vi) Recording closing entries
 - vii) Recording of issue of shares and debentures
- 7. (i) Income tax- It is levied on the incomes of individuals and business / companies.
 - (ii) Corporation tax – It is levied on the profits made by limited companies.
 - (iii) Excise tax – It is levied on goods produced within a country.



- (iv) Customs duty – It is a tax levied on goods which are imported into / exported to other countries
- (v) Value Added tax – It is applied to all goods at a given percentage. Therefore it is based on purchases.
- (vi) Withholding tax – It is a tax collected at source especially in case of dividends / commissions / interests/ deposits / etc/
- (vii) Capital gains tax – it levied on increase in the value of certain types of property when sold at a higher price than it was bought for e.g. sale of stocks / securities in the S.E market.

8.

- (i) Collecting credits on behalf of the government from various sources.
- (ii) Getting credit from other sources on behalf of government.
- (iii) Making various payments on behalf of government.
- (iv) Giving financial advice to the government
- (v) Giving credits to the government.
- (vi) Receiving payments on behalf of the government from sources such as foreign donors / income tax department/ customs department / etc.

9.

$$C.C = O.C + A.I - D + P$$

$$320,000 = 270,000 + 30,000 - 100,000 + p \checkmark$$

$$320,000 = 300,000 - 100,000 + p$$

$$320,000 = 200,000 + P \checkmark$$

$$P = 320,000 - 200,000$$

$$P = \text{shs. } 120,000 \checkmark$$



10. (i) Control of supply of an important factor of production
- (ii) High initial capital outlay
- (iii) Exclusive technical know-how in the production of commodity
- (iv) Merging of two or more firms
- (v) Government power.
11. (i) If there is no room on the vehicle
- (ii) If the goods are improperly packed
- (iii) If the goods are dangerous such as explosives
- (iv) If the goods are not the nature the vehicle is designed to carry.
- (v) If the destination of the goods is not covered by the carrier.
12. (i) Increase in sales volume
- (ii) Higher profit margins are realized
- (iii) Goods can be reposed if the buyer defaults
- (iv) Ownership of the goods is retained until the payments is completed.

13. **Njoroge Traders**
Balance sheet
As at 31st May 2004

Shs.		Shs.	
Cash 20,000✓		Capital	879,500✓



Bank 160,000✓	Creditors
	62,500✓
Premises 800,000✓	2 yrs Bank loan 40,000✓
Stock 2,000✓	
<u>982,000</u>	<u>982,000✓</u>

14.

Dr. Cash Account

Cr.

2004 Shs.	2004 Shs.
June 1 st capital 50,000✓	June 4 th office equip 2,000✓
	June 6 th Bank 12,000✓
	June 8 th Purchases 10,000✓

Dr. Capital Account

Cr.

2004 Shs.	2004 Shs.
	June 1 st cash 50,000✓

Dr. Office Equipment Account

Cr.

2004 Shs.	2004 Shs.
June 4 th cash 2,000✓	



Dr. **Bank Account**

Cr.

2004 Shs.	2004 Shs.
June 6 th cash 12,000✓	





(ii) It must be possible for the insurance company to calculate the loss mathematically.

(iii) The occurrence of the loss must be accidental.

(iv) The insured must suffer a loss or liability in occurrence of the risk

(v) The loss suffered must be substantiated

(vi) The risk must not be catastrophic.

18. (i) There should be ease of movement

(ii) There should be ease of flow of work

(iii) There should be ease of co-ordination of staff / work.

(iv) There should be no obstruction of light and ventilation by furniture and equipment.

(v) There should be ease of communication.

19.

Bondo Traders

Trading account

For the year ended 31st Dec. 2004

Shs

Shs.

Opening stock 2,500✓	Sales 56,400✓
Add purchases 46,000✓	
C.O.G.A.F.S 48,000✓	
Less closing stock	



1,500✓	
C.O.S	
47,000✓	
Gross profit	
9,400✓	
<u>56,400</u>	<u>56,400</u>✓

20.

Cash Book (extract)

Date	Details	F	Cash	Bank	Date	Details	F	Cash	Bank
Dec. 2 nd 2004	Sales		30,000✓		2004 Dec 8 th	Bank	C	15,000✓	
Dec. 8 th	Cash	C		15,000✓	Dec. 10 th	Cash	C		10,000✓
Dec. 10 th	Bank	C	10,000✓						

21. (i) It provides employment to the citizens

(ii) They stimulates growth in specific sectors of the economy such as agricultural activities

(iii) They stimulate other products / service industries that provides industrial inputs expertise.

(iv) They lead to development of good infrastructure in these zones.

(v) They promote export trade which earn foreign currency

(vi) They help to penetrate difficult foreign markets which small scale producers would not reach.

(vii) They help to correct balance of payment imbalance by encouraging exportation of



local products

(viii) They are source of revenue to the govt.

22. (i) It provides short-term loans to member countries.

(ii) It assists in setting imbalances / advances for the member.

(iii) It assists in stabilizing currencies by maintaining orderly exchange arrangements.

(iv) It provides technical / financial advice to member countries to help them solve their

Financial problems

(v) It does not interfere in the internal economic affairs of member countries / it does not

Influence the economic and monetary policies of member countries.

(vii) It has maintained the gold standard to the advantage of the member countries.

23. (i) The cost of after sales services is finally passed on to the buyer.

(ii) It may be inconveniencing / unnecessary where the dealer requires the goods to be

bought from his premises.

(iii) The dealer may create monopoly hence exploit the buyer / the buyer is tied down to

one trader.

(iv) The dealer can run out of spare parts hence cause delays in operations.



(v) The service may be given when the product is still new and has few problems

(vi) The service charge can be unrelated to the actual work done while the charges

become too high.

(vii) A lot of time / money will be spent if the customer and the supplier are far apart.

24. (i) When the prices of imports increase while those of exports decrease / decline.

(ii) When prices of exports decline while those of imports remain constant.

(iii) When prices of imports remain constant while those of exports decline.

(iv) When prices of exports remain constant while those of imports increase.

(v) If there is political instability in country affecting production of exports.

25. Statement of Affairs

Shs

Shs.

Cash in hand 43,000✓	Capital 74,000✓
Furniture 19,000✓	Telephone bills due 3,000✓
Debtors 19,000✓	Rent outstanding 8,000✓
Electricity prepaid 4,000✓	
<u>85,000</u>	✓ <u>85,000</u>



SAMPLE PAPER 4

565/ 1

PAPER 1

1. Give four ways in which the productivity of human effort can be improved
(4mks)
2. Give four differences between a proforma invoice and an invoice
(4mks)



3. Outline the suitable terms that describes the following statements

(4mks)

Statement	Term
i) Presenting a cheque for payment before time	
ii) A polite way of requesting for payment before goods are dispatched	
iii) An unconditional order written by seller to buyer when demanding for payment	
iv) Inferior goods which require the accompaniment of other goods which are slightly expensive to yield satisfaction	

4. Identify four ways through which franchising can be affected

(4mks)

5. Mention four external diseconomies of scale

(4mks)

6. Outline four methods used by the government to control monopoly powers in an economy (4mks)

7. The table below shows the demand and supply schedules of a commodity in the market.

<u>Price</u>	<u>Quantity demanded</u>	<u>Quantity supplied</u>
(SH)	Kgs)	(Kgs)
10	100	30
12	90	40
14	80	50
16	70	60
18	60	70
20	50	80



22

40

90

From the above schedule:

(i) Give the nature of the supply of the commodity

(1mk)

(ii) Give the nature of the demand of the commodity

(1mk)

(iii) With the help of the diagram label the equilibrium prices and the equilibrium quantity

(2mks)

8. The following trial balance was incorrectly prepared.

KALWAL TRADERS

Trial Balance As at 31/12/2004

	DR	CR
Capital		
31,000		
Cash in hand	11,000	
Creditors	14,000	
Insurance		
12,000		
Debtors	13,000	
Drawings		
15,000		
Bank overdraft		6,000
Bank loan	<u>18,000</u>	
Stock		
<u>18,000</u>		
Total	56,000	
82,000		

Required: Prepare the correct Trial Balance.

(5mks*Kyo*

9. State three reasons justifying the use of a credit note in a business transaction

(3mks)



10. Identify the source documents that can be used in recording each of the following transactions

(4mks)

- a) To correct an undercharge in an invoice
- b) To pay casual workers in an organization
- c) To show that a credit transaction has taken place
- d) To show that a cash transaction has taken place

11. The following transactions took place in the month of March 2006 in the business of Kandie

- March 2. Bartany traders returned goods worth Ksh. 2800
- March 10. Mondane traders returned goods worth Ksh. 1200
- March 15. Goods worth Ksh. 800 was returned to Safina traders.
- March 20. The supplier of iron sheets-Kivuva who was owed Ksh. 18,000
dispatched
other items which were finally returned.
- March 22. Returned goods worth Ksh. 1600 to Ukwala traders
- March 28. Goods dispatched by Kokwo traders worth Ksh. 2400 got
damaged while on transit and were returned.

Required: Prepare the Returns Inwards Journal for Kandie Traders

(4mks)

12. Outline four sources of funds to a municipality

(4mks)

13. Outline four benefits of Barter Trade

(4mks)

14. The following statement shows the various levels of Economic Integration. Against this statements, give the level that suits each.

(4mks)

Statement	Level
a) Member countries imposes common tariffs on non-member states	



b) Member countries have joint economic institution and common monetary and fiscal policies	
c) Member countries agree to either abolish or relax tariffs and other barriers	
d) Member countries allow free movement of factors of production	

15. State four measures that has been introduced by the Transport Licensing Board in its efforts to curb road carnage in Kenya.

(4mk)

16. Give four reasons why most firms prefer open office layouts to closed one.

(4mk)

17. State four factors that affect the circular flow of Income in an economy.

(4mks)

18. Highlight four types of bills of exchange.

(4mks)

19. State three contents of Partnership Act.

(3mks)

20. The following information relates to Koswo Traders as at 31.12.2005,

Opening Stock	15,000
Sales	75,000
Purchases	50,000
Returns Inwards	8,000
Returns Outwards	4,000
Closing Stock	10,000

Calculate:

a) Cost of sales

(2mks)

b) Gross profit.

(1mk)

c) Net sales

(1mk)



d) Net purchases

(1mk)

21. Give three types of crossings in a cheque

(3mks)

22. Outline three reasons for low geographical mobility of labour in Kenya.

(3mks)

23. "Planning is primary in the management of a firm". State four reasons in support of this statement

(4mk

s)

24. Cell phones are a common medium of communication today". Give four disadvantages of this

medium of communication.

(4mks)

25. Kamau, a sole trader does not keep a complete set of books. After scrutinizing his documents and interviewing him, the following information was available.

1.1.2005

31.12.2005

Furniture	—	
60,000		
Stock	23,000	
45,000		
Delivery van	137,000	1
12,000		
Trade Debtors	25,400	
30,900		
Trade Creditors	18,500	
15,100		
Commission received in advance	5,800	
4,400		
Cash in hand and at bank	14,000	
17,300		



Light and heat accruing —
6,000
Bank Loan
32,000

Required: Use the above information to determine Kamau's Net profit or loss realized during the Year.

(5mk
s)

MARKING SCHEME

SAMPLE PAPER 4

565 / 1

PAPER 1

1. a) Training
- b) Competitive remuneration payments
- c) Provision of efficient tools
- d) Improving the working conditions
- e) Improving working relations
- I) Allowing workers to buy shares (promote senses of ownership in the company)

I. It is used in response to an order for goods	1. It is used after goods have been
---	-------------------------------------



	delivered
2 It shows the total value of goods to be bought	2. It shows the total value of the goods bought on credit
3. It shows the prospective buyer the amount to be paid should the goods be bought	3. It shows the buyer the amount due for goods bought on credit
4. Used as a basis of preparing payment	4. Used as a basis of making payment
5. It cannot be used to make entries into books of accounts	5. It is often used as a basis of making entries into books of accounts
6. It serves as a quotation for goods to be bought	6. It serves as a notice of payment for goods bought on credit
7 It is used to demand for payment in advance for goods bought	7. It is used to demand payment for goods sold on credit

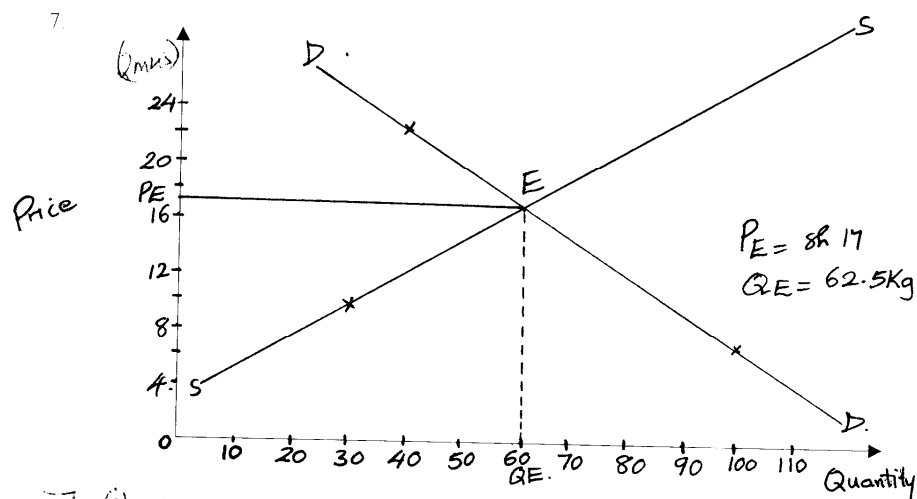
3. a) i) Post – dated cheque
 ii) Proforma invoice
 iii) Bill of exchange
 iv) Giffen goods

4. a) Allowing the use of the same business ideas
 b) Allowing the use of the same equipment
 c) Allowing the use of the same method of processing
 d) Allowing the use of the same business name

5. a) Inadequate space (land) for expansion



- b) Labour unrests strikes for higher salaries
 - c) Scramble for raw materials
 - d) Competition for the available market
 - e) Scramble for available labour
 - f) Easy targets during war
- 6.
- a) Taxation - imposition of a lump sum tax
 - b) Price controls - maximum prices
 - c) Government ownership and operations of firms
 - d) Legal action against monopolies
- 7.
- i) Elastic - Normal Supply curve
 - ii) Elastic Normal Demand curve
 - iii)



8.

KALWAL TRADERS

TRIAL BALANCE

As at 31 / 12 / 04

Dr		Cr
Sh		Sh
Capital		31,000✓
Cash in hand	11,000✓	
Creditors		14,000✓
Insurance	12,000✓	
Debts	13,000✓	



Drawings	15,000✓	
Bank Overdraft		6,000✓
Bank loan		18,000✓
Stock	<u>18,000✓</u>	<u> </u>
	<u>69,000</u>	<u>69,000</u>

9. a) When empty containers are returned
 b) When goods are returned
 c) When there is overpayment of goods / overcharged goods
 d) When arithmetical mistakes has been made
 e) To cancel an invoice wrongly sent
 f) To compensate for any gift vouchers which the retailer has received from customers in part payment

- 10 a) Debit Note
 b) payment Voucher
 c) Invoice
 d) Cash receipt

11. **RETURNS INWARDS JOURNAL**

DATE	DEBTOR	CREDIT NOTE NO.	AMOUNT(SH)
March 2006			
2	Bartany✓		2,800✓
10	Mondane✓		1,200✓
20	Kinyua✓		18,000✓
22	Ukwala✓		1,600✓
28	Kokwon✓		2,400✓
Totals Transferred to sales return A/C and the respective Debtors			26,000

12. a) fines on hawkers
 b) Rent and rates on premises



- c) Grants from the Government (Local Authority Transfer fund)
 - d) Licensing Fees / buspark fees/market stall charges
 - e) Charges on social amenities / service charge
 - f) Loan from the Government / commercial banks
 - g) Grants from foreign bodies.
13. a) Buyers and sellers are able to get the goods and services they require immediately after exchange
- b) A country or person is able to diagnose of surplus
- c) Promotes social relations among trading communities
- d) Promotes specialisation in the production of goods and services
- e) Promotes the standard of living of people involved in it as opposed to direct production
14. a) Customs Union
- b) Economic Union
- c) Free Trade Area
- d) Common Market
15. a) Safety belts
- b) Speed Governors
- c) Reducing carrying capacity in PSV Vehicles
- d) Removal of unroadworthy vehicles
- e) Strict and severe penalties with wrongdoers e.g. withdrawal of Licences
16. a) Cheap to construct
- b) General equipment are fully utilised
- c) Ease in supervision
- d) Enhances efficiency
17. a) Savings
- b) Investments
- c) foreign Trade

d) Taxation (Government interference)



<u>67,000</u>	<u>67,000</u>
---------------	---------------

Alternative B

$$\begin{aligned}
 \text{a) Cost of sales} &= \text{Cost of goods available for sales} - \text{Closing stock} \\
 &= 61,000 - 10,000 \\
 &= \text{Sh. } 51,000
 \end{aligned}$$

$$\text{b) Gross profit} = 16,000$$

$$\begin{aligned}
 \text{c) Net sales} &= \text{Sales} - \text{Sale Returns} \\
 &= 75,000 - 8,000 \\
 &= 67,000
 \end{aligned}$$

$$\begin{aligned}
 \text{d) Net Purchases} &= \text{Purchases} - \text{Purchases Returns Outwards} \\
 &= 50,000 - 4,000 \\
 &= 46,000
 \end{aligned}$$

- 21.
- a) Two parallel lines without words
 - b) Two parallel lines with words & Co
 - c) Two parallel lines with words “ Not Negotiable”
 - d) Two parallel lines with words A/C payee only"
 - e) Two parallel lines with words "Not Transferable"

- 2.2.
- a) Ignorance of job opportunities
 - b) Adverse climatic conditions
 - c) High expenses of transfer involved
 - d) Language barrier
 - e) Security concerns
 - f) Family ties
 - g) Cultural barrier / customs



23. a) Eases coordination
b) Brings about development of performance standards
c) Reduces uncertainties
d) Leads to efficient utilisation of resources
e) Focus on objectives of the organization
f) Guides the decisions of the organisation
24. a) Cost of maintenance is high
b) It is prone to theft i.e. can easily be stolen
c) It releases harmful radiation which is a health hazard
d) It has promoted anti-social behaviour e.g. cheating / crimes
e) Its introduction has led to mass retrenchment of people who were employed in Telecommunication
f) It is discriminative especially on the deaf
g) Cannot be used everywhere -- requires network for effective use.

25. **OPENING BALANCE SHEET**

Delivery Van 137,000✓	Trade creditors 18,500✓
Stock 23,400✓	Commission in advance 5,8000✓
Trade Debtors 25,000✓	
Cash in hand and bank 14,000✓	
199,400✓	24,300✓

$$\begin{aligned}\text{Capital 1; Capital} &= 199,400 - 24,300 \\ &= 175,100/= \end{aligned}$$

CLOSING BALANCE SHEET



Delivery Van 112,000✓	Trade Creditors 15,100✓
Furniture 60,000✓	Commission in Advance 4,400✓
Trade Debtors 30,900✓	Light and heat accruing 6,000✓
Cash in hand and Bank 17,300✓	Bank Loan 32,000✓
220,200✓	57,500✓

(10 x 1/5 = 2 mks)

Capital 2: Capital $\longrightarrow$ = 220,200 – 57,500

= 162,700

Net Loss = Closing capital – Opening Capital

= 162,700 – 175,100

= 12,400

Net Loss = Ksh. 12,400



SAMPLE PAPER 5

BUSINESS STUDIES

565 / 1

1. State FOUR features of labour as a factor of production. 4mks
2. State FOUR roles of ethics in businesses. 4mks
3. List FOUR subjects included in business studies. 4mks
4. State FOUR merits of replacing manual systems with automated ones in carrying out office activities. 4mks
5. Outline FOUR functions of a market. 4mks
6. The national income measure using the expenditure approach is given as $Y=C+I+G + (X - M)$. State what is represented by each of the letters in the equation. 3mks
7. Highlight FOUR circumstances under which a manufacturer would sell his products directly to the consumer. 4mks
8. State FOUR undesirable effects of inflation to the Kenyan economy. 4mks
9. State FOUR characteristics of human wants. 4mks
10. State FOUR factors that determine the size of a firm. 4mks
11. Highlight FOUR prominent features of a retailer's warehouse. 4mks
12. Outline FOUR emerging issues in government and business. 4mks
13. State FOUR uses of a credit note in home trade. 4mks
14. State FOUR external factors that affect the business. 4mks
15. Highlight FOUR advantages of private carriers in transport. 4mks
16. Outline FOUR factors that influence the supply of money in an economy. 4mks
17. The prospective insured is supposed to disclose all the information about the subject matter of insurance with all honesty. Mention any FOUR types of information to be disclosed 4mks
18. With the aid of a diagram, state the effect of an increase in the supply of a product on the equilibrium price and quantity. 4mks
19. For each of the following transactions, state whether the transaction will cause an increase or decrease in assets, liabilities and capital. 3mks

	TRANSACTION	ASSETS	LIABILITIES	CAPITAL
a)	Borrowed a loan from bank and was issued with a cheque			
b)	Bought furniture for business on credit			
c)	Sold the delivery van for cash			
d)	Withdrew sh.2000 from business account for			



	personal use.			
--	---------------	--	--	--

20. Give the meaning of the following business terms

- a) Debtor
- b) Capital
- c) Fixed assets
- d) Liabilities

21. Itemise the contents of a statement of account.

22. Use the table below to answer the questions that follow.

4mks

CASH BOOK

Date	Particulars	Cash	Bank		Date	Particulars	Cash	Bank
2/4/96	Bal. B/f	<u>X</u>	90,000		12/4/96	Motor expens	7,000	
5/4/96	Sales	8,000			13/4/96	Cash (c)		30,000
13/4/96	Bank(c)	30,000			15/4/96	Salaries	15,000	
					17/4/96	Kibet		16,000
23/4/96	Cash (c)		20,000		23/4/96	Bank (c)	20,000	
25/4/96	Sales		40,000			Bal. c/f	16,000	<u>Y</u>
					31/4/96			
		58,000	150,000				58,000	150,000

a) Calculate the missing figures: X Y

b) Explain the entries made on the dates specified below*NDI*

(i) 13/4/96

(ii) 17/4/96

23. State FOUR features of incorporated business units.

4mks

24. State FIVE ways through which unemployment problem in Kenya can be solved.

5mks

25. Highlight FIVE characteristics of under development.

5mks

SAMPLE PAPER 5

MARKING SCHEME

565 / 1



BUSINESS STUDIES

1. Features of labour
 - Can not be stored i.e. if it remains idle for sometimes it is wasted.
 - Can not be separated from the labourer
 - Bargaining power of labour is weak
 - The supply of labour depends on other factors such as population, educational and training facilities, social conditions e.t.c
 - Can be skilled, semi- skilled and unskilled.
2. Roles of ethics in business
 - Encourages good working relations among workers
 - Ensuring good employer and employees.
 - Ensures that rights of individuals in the working environment are protected.
 - Ensures that professionals relate professionally to their clients
 - Helps workers to protect and uphold a good reputation of the business organization
 - Helps the workers to develop proper skills and right attitudes towards their work.
3. Subjects included in business studies.
 - Economics
 - Commerce
 - Accounting
 - Office practice
4. State four merits of replacing manual systems with automated ones in carrying out office activities.
 - They are labour saving
 - Faster / save time
 - They are accurate
 - Presentable output
 - Control fraud
 - Uniformity of output
5. Functions of a market
 - Price determination
 - Contact between buyers and sellers
 - Product outlet
 - Transaction ground
 - Source of goods
6. State what is represented by letters in the equation used in measuring national income
Y – National income



C- Consumption expenditure by households

I- Investment expenditure

G- Government expenditure

X- Exports i.e expenditure on national output by foreigners

M-imports i.e expenditure on imports

7. Circumstances where a manufacturer would sell his goods directly.
 - Technological products
 - Some items involve long procedures
 - Some may require after sales services
 - Some products are of very high value
 - To avoid competition
 - Where the manufacture has enough funds.
8. Effects of inflation
 - Weakens the value of the local currency
 - Adverse effect on contractual agreement for provision and supply of goods and services.
 - Decline of standards of living for people earning fixed income.
 - Lenders loose borrowers
 - Inflation discourages savings
 - Increase the cost in implementation of development plans
 - Balance of payment deficit
 - Fall in investment and increases levels of employment.
 - High inflation rates general industrial unrest.
9. Characteristics of human wants
 - Insatiable
 - Require resources
 - Vary in urgency and intensity
 - Competitive
 - Recurrent
 - Universal
 - Habit forming
 - Complimentary
10. Factors that determine the size of a firm
 - The number of workers
 - The volume of output



- The amount of capital invested
 - The technique of production / technology
 - The size of the market served
 - The means of transport and communications
 - The sales volume
11. Prominent features of retailers warehouses
- Mainly owned by large scale retailers
 - Attached to the retail shops
 - Stock fast moving consumer goods
 - They hold reserve stock to ensure the demand is constantly met
 - They help in maximizing sales, improving services to customers and achieving economies of scale
12. Emerging issues in business
- Corruption
 - Market liberalization
 - Privatisation
 - Dumping
 - H.I.V Aids
13. Uses of a credit note
- Used to correct an overcharge
 - Issued when empty containers are returned
 - Used to correct calculation errors on the invoice
 - Issued when damaged goods are returned.
 - Issued when wrong items are supplied
14. External factors that affect the business
- Economic environment
 - Demographic environment
 - Legal political environment
 - Technological environment
 - Socio- cultural environment
 - Competitive environment
15. Advantages of private carriers
- They can establish direct contact with suppliers & customers hence establish social relations
 - Can transport their goods any time they wish



- Can have their own carriers & terminals designed to suit their needs
- Can use vehicles for advertisements of their firm or products
- Can be hired by other firms hence generating more income.

16. Factors influencing supply of money in an economy.

- Increase in economic growth
- Increase in levels of employment
- Price stability
- Exchange rate stability
- High capital turnover

17. Four types of information disclosed

- An accurate description of the matters to be insured
- The period for which the insurance cover is required
- The place where the matter to be insured is located
- The risk against which the insurance cover is required
- Any circumstances or conditions that are likely to increase the probability of the risk occurring.

18.

- Improved technology
- Reduction in the cost of production
- Reduction in the price of an alternative product
- An increase in the number of producers

19. Effects of transactions on assets, liabilities and capital

Transaction	Effects on the balance sheet		
	Assets	Liabilities	Capital
a) Borrowed a loan from the bank	Increase	Increase	No effect
b) Bought furniture for the Business on credit.	Increase✓	Increase✓	No effect
c) Sold the delivery van and was paid cash	Increase✓ Decrease✓	No effect	No effect
d) Drew 2,000 from the business for personal use	Decrease✓	No effect	Decrease✓

20. Definitions:



- a) Debtor: Person/organisation who owes money to another for goods / services taken on credit
- b) Capital : Money/ items contributed by someone in order to start / sustain a business
- c) Fixed Assets: property owned by business and is expected to last for along time.
Goods that are not for re-sale
- d) Liabilities – Money/ items borrowed by the business. It is what is owed by the business to others

21. Contents of a statement of account.

- Balances at the beginning and at the end of the trading period
- All invoices issued during the month
- All debit notes issued during the month
- All credit notes issued during the month

22. a) $x = \text{sh. } 20,000$

$$y = 104,000$$

- b) i) Cash was withdrawn from the bank for office use
- ii) Kibet , a creditor was paid by cheque

23. Features of incorporated business organizations.

- Legal procedure is followed during formations
- They have corporate status- They are legal entities separate from the owners who formed.
- Shareholders have limited liability
- They have perpetual succession
- They can raise large amounts of capital hence large in size
- Failure of the business does not necessarily reflect the failure of its owners.

24. Solving unemployment in Kenya

- Educating and training
- Changing with technology
- Alternative employment
- Setting and following government policies
- Setting industries in different areas.

25. Characteristics of under-development

- Low per capital income / high level of poverty
- Unequitable distribution of income & wealth
- Level of savings & investments i.e. vicious cycle of poverty
- High population growth rate
- High level of dependency



- Dominance of traditional subsistence sector
- Under-utilisation of natural resources
- High level of unemployment / under –employment
- Large rural population
- Great number of illiterate population
- Low labour productivity
- Dependence on the developed countries

SAMPLE PAPER 6

565/1

BUSINESS STUDIES

1. In the table below, indicate using a tick (✓) whether the indicated factor constitutes internal or external business environment. 4mks

FACTOR	INTERNAL ENVIRONMENT	EXTERNAL ENVIROMENT
a) Management		
b) Economy		
c) Human resources		
d) Population		

2. Give THREE reasons why consumers make choice whenever they want to satisfy human wants. 3mks
3. Highlight FOUR factors that can promote occupational mobility of labour. 4mks



4. Give FOUR qualities of a good entrepreneur. 4mks
5. Highlight FOUR ways in which an open office lay-out can contribute to efficiency in office operations. 4mks
6. A wholesaler sold 20 bags of maize at Kshs. 1200 each to a retailer. The retailer was allowed a trade discount of 10% and cash discount of 3% if payment was made within a month. Calculate the total amount of money the retailer paid if the payment was made within a week. 4mks
7. Distinguish between
(a) A firm and industry. 2mks
(b) Direct costs and indirect costs. 2mks
8. Highlight FOUR ways in which the government can promote the location of business enterprises in a given area 4mks
9. Complete the table below relating to the trading accounts of businesses X and Y. 2mks *Tso*

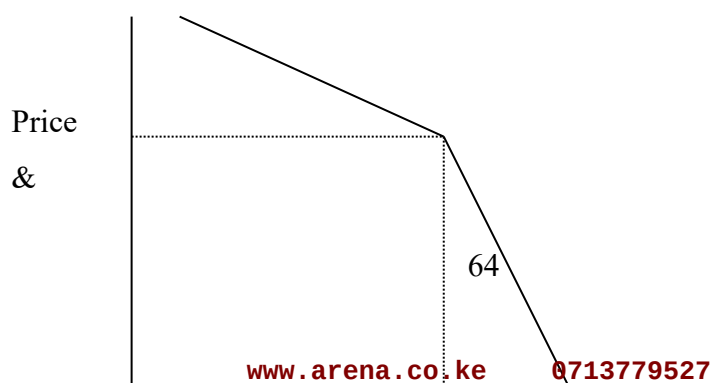
BUSINESS	OPENING STOCK	PURCHASES	CLOSING STOCK	GROSS PROFIT	SALES
X	2000	7,500	800		10,400
Y	3,500	24,600		4000	30,000

10. State FOUR reasons why a trader would issue a statement of account to buyers 4mks
11. Outline FOUR disadvantages of ageing population. 4mks
12. Give FOUR uses of a bill of lading 4mks
13. Highlight FOUR reasons why air transport is the best suited for transporting valuable goods.
14. Jaja traders had a closing capital of Kshs. 280,000 on 31st December 2002. During the same year the following information was found in their books:- 4mks

	Kshs.
Gross profit	48,000
Total expenses	35,000
Drawings	6,000
Additional Investment	28,000

Calculate the opening capital for the year 2002.

15. Outline FOUR importance of a bonded warehouse to the government. 4mks
16. The diagram below represents the demand curve of a market structure.





cost

Output

- (a) Identify the market structure 1mk
(b) Give reasons for the shape of the curve above. 3mks

17. The balance sheet below relates to Onyoni traders on 30th October 2005.

ASSETS		LIABILITIES AND CAPITAL	
Land	120,000	Capital	210,000
Premises	58,000	Loan (10yrs)	48,000
Van	72,000	Creditors	16,000
Stock	16,000	Overdraft	10,000
Cash	14,000		
Debtors	4,000		
284,000		284,000	

The following transactions took place during the month of November 2005.

- Took cash Kshs. 3,500 for personal use
- Sold van at Kshs. 80,000 and was paid by cheque
- Bought goods worth Kshs. 2,000 on credit.

Prepare a new balance sheet at the end of November for Onyoni traders. 5mks

18. Outline FOUR distribution channels for locally produced agricultural products. 4mks

19. Identify the motive of holding money in each of the circumstances below: 3mks

- (a) Need to hold money to cater for future unforeseen eventualities
(b) Need to have money to cater for daily expenses
(c) Need to have money with hopes that prices will fall in future in order to purchase more

20. Listed below, are transactions of a retailer in town X. For each of the following, identify the appropriate journal in which it should be entered. 4mks

TRANSACTION	TYPE OF JOURNAL
(a) Sold goods on credit to Nyawira Hotel	



(b) Goods sold earlier to Riziki were returned back due to defects	
(c) Received a credit note from Malaba Wholesalers	
(d) Bought goods from Zubeda distributors on credit.	

21. Outline **FOUR** features of under development. 4mks

22. The following information relate to Mapesa Enterprises on 31st December 2005.

Gross Profit	48,000
Salaries	8,500
Discount received	3,800
Bad debts	3,600
Discount allowed	3,000
Commission earned	4,000
Rent income	3,500
Depreciation	1,400

Required

Prepare Mapesa's profit and loss account at 31st December 2005. 5mks

23. Give two advantages of source documents to a firm. 2mks

24. The incorrectly prepared trial balance below belongs to Sifa Traders on 30th October 2004.

Prepare the correct trial balance. 4mks

	DR	CR
	Kshs.	Kshs.
Capital	149,400	
Debtors		45,300
Insurance	2,000	
Fixures	48,000	
Stock (30/10/04)	6,000	
Premises		160,000
Creditors	21,900	
ICDC loan	_____	_____
	227,300	90,000
	=====	=====
	295,300	

25. State **FOUR** negative effects of inflation to a country. 4mks

26. List **THREE** methods used in computing national income. 3mks



MARKING SCHEME.

SAMPLE PAPER 6

565 / 1

BUSINESS STUDIES

PAPER 1

1.	Internal Environment	External Environment
a) Management	✓	
b) Economies		✓
c) Human resources	✓	
d) Population		✓
2. Reasons of making a choice		
- The resources are limited		
- The wants are unlimited		
- The wants are competitive		
- Tastes & preferences differ		
- Culture & beliefs		
3. Factors that promote occupational mobility of labour		



- Training duration
- Income earned
- Professional restriction
- Natural intelligence

4. Qualities of a good entrepreneur

- Risk taker
- Future oriented
- Imaginative
- Decision maker
- Persistent & patient
- Goal oriented
- Optimistic

- 5.
- Easy to supervise
 - Less expenses on office partition
 - Sharing of equipment
 - Office can be put to various uses (e.g conference)
 - Easy to communicate.

6. $20 \times 1200 = 24,000 \text{ /=}$

$$\frac{90}{100} \times \frac{97}{100} \times 24000$$

$$= 20,952 \text{ /=}$$

7. a) Firm

a single independent business unit under one management

Industry: comprise all firms engaged in same activity.

b) Direct costs can be traced to the final output.

Indirect costs cannot be traced to final output (overhead cost)

- 8.
- provision of security e.g. police post
 - Tax relief and holidays
 - Subsidies
 - Giving free land



- Provision of good transport network
9. x - 1700
 y – 2100
10. - To show the financial position of buyer (outstanding amount)
 - To show all payment made
 - To show all credit & debit notes sent
 - To show all invoices sent
11. Ageing population
 - Low labour force
 - High pension / retirement costs
 - High dependency ratio
12. Uses of a Bill of exchange
 - Contract of carriage
 - Document of title
 - Show ports of embarkment & destiny
13. Advantages of Air transport for transporting valuable goods
 - Security is guaranteed (safer)
 - Goods have pay back power / high profit
 - Need fast delivery
 - Are usually not bulky
14. Closing = opening + Gross + add – drawing,
 Capital capital profit investment
 280,000 = x + 48,000 + 28,000 – 6000
 280,000 = x + 76,000 – 6000
 280,000 = x + 70,000
 Opening capital = Kshs 210 ,000
15. Bonded warehouse
 - The government can check the quality of goods entering the country.
 - Helps the government to collect revenue
 - Government assess on the quantity as goods
 - The statistical data collected by the government from bonded warehouse helps in planning
16. a)Oligopoly
 b) When price is increased dd become elastic hence loss of customer.



When price reduce dd is inelastic hence low profits.

17.

Onyieni traders

Balance sheet for the period ended Nov 2005

<u>Assets</u>			
Land	120,000	Capital	214,500
Premises	58,000	Loan (10yrs)	48,000
		Creditors	18,000
Stock	18,000	Overdraft	10,000
Debtors	4,000		
Bank	80,000		
Cash	10,500		
290, 500		290, 500	

18. Producer (farmer) $\longrightarrow$ consumer
 Producer (farmer) $\longrightarrow$ market $\longrightarrow$ consumer
 Producer (f) $\longrightarrow$ Retailer $\longrightarrow$ consumer
 Producer (f) $\longrightarrow$ co-operative $\longrightarrow$ marketing board $\longrightarrow$ consumer

19. a. Precautionary motive
 b) Transaction motive
 c) Speculative motive

20. - Sales journal
 - Sales return Journal
 - Purchases Journal
 - Purchases Journal

21. - High levels of poverty
 - High population growth rate
 - BOP. Deficitis
 - Poor infractructure
 - Unequitable income distribution.

22.

Mapesa's profit & loss

A/C as at 31st Dec 2005.



<u>Expenses</u>		
Salaries	8,500	Gross profit b/f 48,000
Bad debts	3600	Disc rec. 3800
Disc allowed	3000	Commission 4,000
Depreciation	1,400	Rent 3,500
Net profit c/d	42,800	
	<u>59,300</u>	<u>59,300</u>
		Net profit b/d 42,800

23. - Evidence of payments
- Used to make original entry

24.

Account	Dr Ksh	Cr. Ksh
Capital		149,400
Debtors	45,300	
Insurance	2000	
Fixtures	48000	
Stock	6000	
Premises	160,000	
Creditor		21,900
ICDC loan		90,000
	261,300	261,300

25. - Price increament
- Labour problems strike
- Reductions in real income
- Forex earning reduce
- Capital flight

26. - Income approach
- Expenditure approach
- Output / product approach.



SAMPLE PAPER 7

565/1

BUSINESS STUDIES

1. Write down four circumstances under which a country may be classified as underdeveloped. 4mks
2. State four benefits that a country may get by being a member of the International Monetary Fund (IMF) 4mks
3. List four disadvantages of an ageing population for a country. 4mks
4. State four measures that could be taken to control cost Push inflation. 4mks
5. Outline four uses of national income statistics in a country. 4mks
6. The following are types of advertising:
Product advertising
Competitive advertising
Informative advertising
Institutional advertising
In the table, match each type with its appropriate description. 4mks
 - (a) Creates awareness about a product
 - (b) Promotes the name of the manufacturer
 - (c) Persuades the consumers to buy a product
 - (d) Promotes a particular brand of a product
7. State four reasons why few Kenyans take out life assurance policies: 4mks
8. The following description relate to some documents used in home trade. In the spaces provided, write the name of each document described. 4mks
 - (a) A document seeking information on the availability of products and their prices.
 - (b) A document showing products and quantity required.
 - (c) A document describing items for sale and their prices.
 - (d) A document sent to a specific buyer, detailing the availability of products and their prices.
9. Write down four advantages of an open office. 4mks
10. Name the department where the following functions are carried out. 4mks



FUNCTION

DEPARTMENT

- a) To maintain supply records
- b)
- c) To enhance relationship among employees.
- d) To control the use of machines, materials
and labour
- e) To maintain good relationships between
the customers and the organization.

11. The following information relates to the businesses of Burundi Baridi Mjuaji and Falaa.

Business(sh)	Assets(sh)	Capital(sh)	Liabilities(sh)
Baridi	500,000	300,000	A
Mjuaji	B	1,200,000	800,000
Mawe	300,000	C	120,000
Falaa	700,000	500,000	D

Determine the value of:

(4mks)

- A
B
C
D

12. Listed below is a set of transactions. In each case, state whether the transaction will increase, decrease or have no effect on capital. 4mks

TRANSACTION	EFFECT
a) Additional cash invested by the owner	
b) Receiving cash from a debtor.	
c) Losses incurred by a business	
d) Owner takes some stock for own use	
e) Sale of old business furniture at a profit	
f) purchase of stock on credit.	

13. The table below shows four types of ledger accounts for a business. In the spaces provided, indicate by a tick, whether each of the accounts should have a debit or credit balance.

4mks

TYPES OF ACCOUNT	DEBIT	CREDIT
------------------	-------	--------



a) Expense		
b) Income		
c) Asset		
d) Liabilities		

14. Record the following transactions in the cash book of Mutonga Traders for the month of January 2004 and balance it. 5mks
2004

Jan1: Cash in hand sh. 10,000, cash at bank 20,000

Jan10: Paid Lucy sh. 8, 800 and Tarus sh. 11,000 after deducting 12% cash discount in each case.

Jan 30: Banked all the cash leaving sh. 1,200 in the cashbook.

15. For each of the following transactions, indicate in the spaces provided, the book of original entry in which the transaction would be recorded. 4mks

Transaction

Book of origin entry:

a) Bought office furniture on credit.

b) Withdrew cash for personal use

c) Sold goods on credit

d) Returned goods bought for sale on credit

16. Outline four barriers to written communication. 4mks
17. Outline four ways in which the government creates enabling environment for business. 4mks
18. State four advantages of operating a public limited company. 4mks
19. State four reasons why governments levy taxes. 4mks
20. For each of the following cases, name the motive for holding money. 4mks

SALE	MOTIVE
a) To meet daily transport expenses	
b) To meet any unforeseen circumstances	
c) To take advantage of anticipated fall in prices	
d) To pay for daily good requirements.	

21. The information given below was extracted from the business of Moto Traders, for the year ended 31st Dec. 2000

shs.



Creditors as at 1 st Jan 2000	40,000
Creditors as at 31 st Dec 2000	30,000
Cash paid to creditors during the year	200,000
Cash purchases during the year	60,000
Credit purchase returns during the year	10,000
Discount received	5,000

Calculate the total purchase for the year. 4mks

22. The following information relates to Ndolo Traders. For the year ended 31 Dec. 2003

	Shs
Gross profit	140,000
Salaries	20,000
Electricity charges	8,000
Discount allowed	6,000
Discount received	26,000

Prepare a profit and loss account for Ndolo Traders for the year ended 31st Dec, 2003

4mks

23. Outline four characteristics of a perfectly competitive market. 4mks
24. Write down four reasons that account for the continued survival of small firms despite the existence of large firms producing similar goods. 4mks
25. State whether the following would either lead to a shift in or a long-term movement in the demand curve. 4mks

FACTOR

EFFECT

- | | |
|--|-------|
| a) An increase in population | |
| b) An increase in the sales tax of a product | |
| c) A change in the price of a product | |
| d) A change in real income. | |



MARKING SCHEME
SAMPLE PAPER 7
BUSINESS EDUCATION
PAPER 1

1. Circumstances under which a country may be classified as underdeveloped.
 - a) When the rate of unemployment is high
 - b) When there is high population growth rate/ mortality rates
 - c) When the standard of living of citizens is low
 - d) When productivity in a country is low
 - e) When the country has a high dependency ratio



- f) When there is inefficient technology
 - g) When the country has dual economy
2. Benefits of a country by being a member of the I.M.F.
- a) Get assistance during balance of payment problems, through the use of SDRS
 - b) Get technical support in terms of personnel
 - c) Get facilities for exchanging currencies/ exchange rates
 - d) Get advice on monetary and fiscal affairs
3. Disadvantages of an ageing population to a country.
- a) Decline in labour supply
 - b) Increased expenditure on welfare benefits
 - c) Reduced revenue from income taxes
 - d) Decline of industries producing goods and services for the young
 - e) High dependency
 - f) They may hinder technological development due to reluctance to changes e.g. innovation
 - g) High per unit cost on producing social amenities
4. Measures to control cost-push inflation.
- a) Adopt more cost effective methods of production or mechanization
 - b) Control cost of inputs/ subsidies
 - c) Control wages guidelines
 - d) Control prices of final products
5. Four uses of national statistics to a country.
- a) To compare the current level of economic welfare, with that of previous periods
 - b) To compare its economic performance with that of other countries
 - c) To plan for the economy
 - d) To know how income is distributed in the country regionally and by sector
 - e) To solicit for financial assistance
 - f) To impose equitable distribution of income]
 - g) To budget and plan
6. **DESCRIPTION** **TYPE**
- a) Creates awareness about a product - Informative
 - b) Promotes the name of the manufacturer - Institutional
 - c) Persuades the consumers to buy a product - Competitive
 - d) Promotes a particular brand of product - Product
7. a) Ignorance on the importance of these policies
- b) Wide spread poverty/ low incomes



- c) Fear of losing their money, because of past experiences of collapse of countries
- d) Lack of enough knowledge to interpret the clauses in the policy
- e) Corruption and embezzlement or fouls by insurance company officials, resulting in delays

of compensations

- f) The elaborate and time – consuming procedures of claiming compensation

8. **DOCUMENT**

- a) Inquiry letter
- b) Order
- c) Catalogue/ price list
- d) Quotation

9. Advantages of an open file.

- a) Supervision is easier, as the numbers of supervision are few
- b) Cheaper to construct, due to few partitions
- c) Joint use of office facilities, which is essential
- d) Eases communication
- e) Improves production due to constant supervision
- f) Cheaper to reorganize office
- g) Improves interpersonal relationships
- h) Less time wastage in movements
- i) Saves on space
- j) Discourages absenteeism and malingering among the employees

10. **DEPARTMENT**

- a) Purchasing
- b) Personnel/Human resources
- c) Production
- d) Sales/ marketing

11. i) A –Sh.200,000
B –Sh.2, 000,000
C –Sh.180, 000
D –Sh.200, 000

12. **EFFECT**

- a) Increase
- b) No effect
- c) Decrease
- d) Decrease



- e) Increase
 - f) No effect
- 13.
- a) Expenses –Debit balance
 - b) Income –Credit balance
 - c) Asset –Debit balance
 - d) Liability –Credit balance

14. **Mutonga traders**
Cash book for January, 2004

Date	Details	Disc all	Cash	Bank	Date	Details	Disc Rec	Cash	bank
2004					2004				
1.1.04	Bal _{b/d}		10,000	20,000	10.1.04	Lucy	1,200		8,800
30.1.04	Cash			8,800	10.1.04	Tarus	1,500		11,000
					30.1.04	Bank		8,800	
					30.1.04	Bal _{c/d}		1,200	9,000
							2,700	10,000	28,800
			10,000	28,800					
1.2.04	Bal _{c/d}		1,200	9,000					

15. Books of original entry
- a) General journal
 - b) Petty cash book, cash payment journal
 - c) Sales journal/ sales day book
 - d) Returns outwards journal, Returns inwards day book
16. Barriers to written communication
- a) Level of language –standard
 - b) Illegibility –Inability to be read/ not clear
 - c) Unfamiliar language/ foreign language/ technical/ long/ sargon
 - d) Hostile tone
 - e) Unfamiliar subject
 - f) Blindness/ visual impairedness
17. Government ways to create an enabling environment
- a) Pausing legislation that support and promote business activities



- b) Offering several incentives to encourage investments like tax holidays, subsidies, reduction or elimination of custom duties, quotas tax, and exemptions for exports e.t.c.
- c) Provision of credit through government institutions
- d) Creating a pool of qualified manpower
- e) Provision of security
- f) Ensuring there is political stability and good will
- g) Provision of infrastructure to reduce costs of production
- h) Liberalization of marketing and accommodation services

18. Advantages of operating a public limited company

- a) Shares are freely transferable
- b) The day-to-day management is entrusted to qualified managers
- c) The raising of capital is easier and less expensive and has many sources
- d) The death of any of its shareholders does not affect the running of the company/

continuity

- e) There is limited liability

19. Reasons why government levy taxes

- a) To raise government revenue
- b) To control consumption of harmful products
- c) To re-distribute income
- d) To control the level of imports
- e) To influence the allocation of resources/ control business activities
- f) To control inflation by reducing disposal income/ prices

20. **MOTIVE**

- a) Transaction
- b) Precautionary
- c) Speculative
- d) Transaction

21.

Creditor's Control a/c

Cash payment	200,000	Balance ^{b/d}	40,000
Discounts received	5,000	Credit purchases	205,000
Purchases returns	10,000		
Balance ^{c/d}	30,000		
	<u>245,000</u>		<u>245,000</u>



Total purchases =Sh.205,000+60000	=Sh.265,000
--	--------------------

22.

Ndolo traders
Profit and loss account
For the year ended 31st Dec, 2003

Salaries	Gross profit	140,000
20,000	Discount received	26,000
Electricity charges		
8,000		
Discount allowed		166,000
6,000		<u> </u>
Net profit		<u> </u>
<u>132,000</u>		
166,000		

23. Characteristics of a perfectly competitive market.

- a) There are many buyers and many sellers
- b) There is free entry and exit of the firm into the industry
- c) There is perfect mobility of factors of production
- d) No transport costs
- e) The products are homogenous
- f) There is perfect knowledge about the market

24. Reasons for continued survival of small firms.

- a) They attract and retain their customers due to their personalized services and attention
- b) They are usually owned and managed by a few people, so it is easier to control operations and take corrective action faster
- c) They are flexible because of their small size. They can make a quick decision which enables them to take advantage of any changes in the environment



- d) There is more commitment on the part of the owners because of the personal interest of owners
- e) Consumer's ignorance/ irrationality
25. a) Shift
- b) Movement
- c) Movement
- d) Shift

SAMPLE PAPER 8

BUSINESS STUDIES

565/ 1

1. Given the following transactions indicate in the spaces provided the book of original entry in which the transaction would be recorded.

TRANSACTION	Book of original entry
Returned goods bought for sale on credit	
Sold goods on credit	
Withdrew cash for personal use.	
Bought office furniture on credit	

4mks

2. Outline FOUR ways in which the government creates an enabling environment for business.

4mks

3. Highlight FOUR differences between a whole life policy and endowment policy4mks

4. State Four measures that could be adopted to control cost push inflation. 4mks

5. Identify any FOUR factors that limit the use of credit cards in commercial transactions 4mks

6. The table below depicts the relationship between various parameters in determination of costs in a firm. Compute the missing values.

Output	Average	Average	Average	Total	Marginal
--------	---------	---------	---------	-------	----------

4mks



(Units)	Fixed Costs (AFC)	Variable Costs (AVC)	Cost	Cost	cost
1	20	10	30		
2	10	9.0	19		
3	6.7	8.0	14.7		
4	5.0	7.0	12		

7. The following information relates to Mumbua traders for the year ended 31st April 2005.

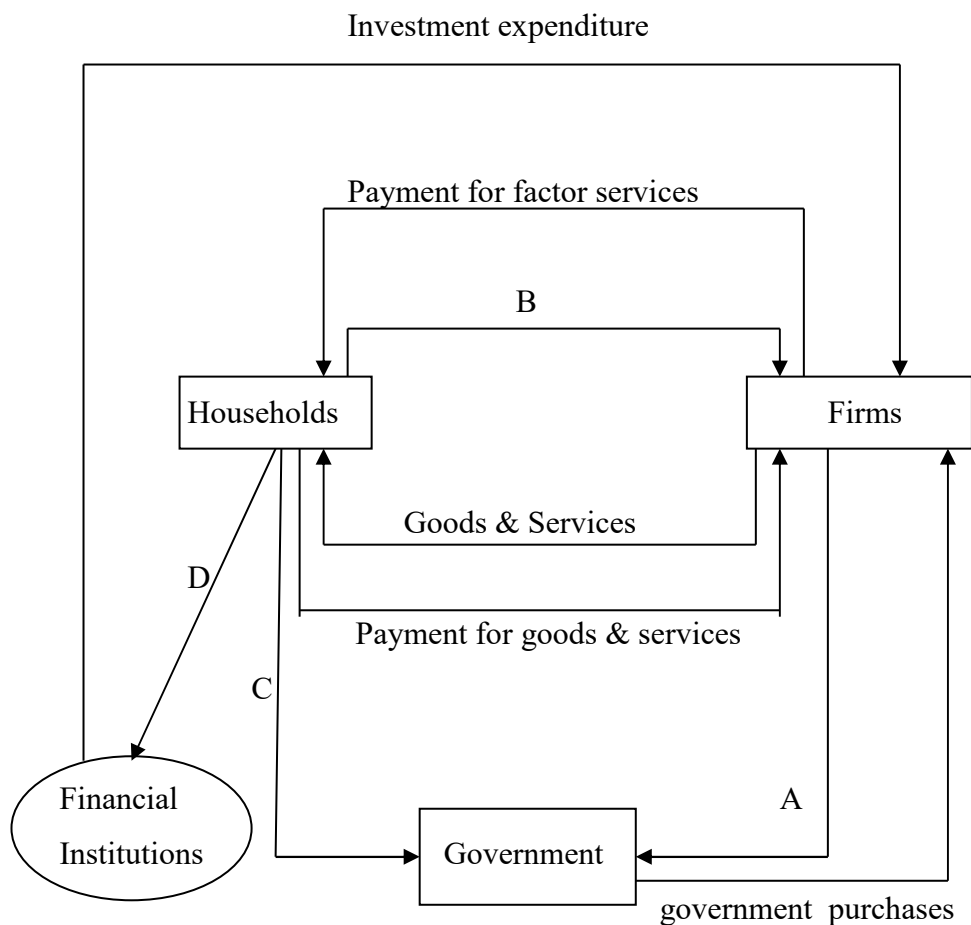
shs

Cash at bank	30,000
Cash in Hand	40,000
Current liabilities	500,000
Sales	920,000
Opening stock	150,000
Closing Stock	230,000
Margin	25%
Expenses	15% of sales

Determine

- | | |
|------------------------------|-----|
| (i) Gross profit | 1mk |
| (ii) Cost of sales | 1mk |
| (iii) Purchases for the year | 1mk |
| (iv) Net profit | 1mk |
8. Name FOUR current trends and emerging issues in communication in the world today 4mks
9. List FOUR reasons why a friend of yours who is joining form one next year should take Business Studies as one of her subjects. 4mks
10. Highlight FOUR reasons why carbon copying is not a popular method of reproducing documents in an office. 4mks
11. Record the following transactions in the relevant ledger accounts of Birgen traders excluding the capital account 5mks
- | | |
|---------------------------|---|
| 1 st DEC. 2005 | Started a business with sh.180,000 in a bank account, building sh. 200,000 and furniture sh. 40,000 |
| 2 nd DEC 2005 | Drew shs 100,000 from the bank for office use. |
| 5 th DEC 2005 | Paid a watchman shs. 5,000 |

12. The following is a three sector economy circular flow diagram



Outline what letters A,B,C and D stand for:

4mks

13. Highlight FOUR limitations consumers are likely to face as they strive to protect themselves from unscrupulous businessmen

4mks



14. Wathiamo runs a hotel business in Kimumu village. He maintains scanty records, but the following details about the business were available on 31st October 2005.

	Shs
Creditors	42,000
Cash at Bank	173,000
Rent income in advance	35,000
Debtors	76,000
Furniture	84,000
Insurance outstanding	20,000
Stock	160,000

Prepare Wathiamo's statement of affairs as on the particular date. 5mks

15. Distinguish between the following terms.

- a) Comforts and luxuries. 2mks
b) Human Resources and Man Made resources. 2mks

16. Define the following terms

- (i) Bureaucracy
(ii) Pilferage
(iii) Ultra vires
(iv) De-industrialisation 4mks

17. State Four factors that may influence the choice of a distribution channel. 4mks

18. Use the information below to write up a three column cash book and balance it as at 31st December, 2003. 5mks

2003 Dec 1st -Kericho Ltd. had cash balance of sh.2,000 and bank balance of sh. 39,800.

- Paid by cheque Abdi account of shs. 20,000 less 5% discount.

2nd - Received a cheque for sh. 9800 from Habib in Full settlement of her account of sh.10,000

9th - Cash sales paid directly into the bank sh.3500

12th - Paid insurance by cash sh 1150

22nd - Kiminini traders settled their account of sh. 6400 by cheque at a cash discount of 2%

28th - Paid rent in cash sh. 1000

30th - Withdrew sh. 4000 from the bank for office use

19. Use a diagram to illustrate the fact that increased supply leads to a reduction in price and that a lower price results in decreased supply. 4mks

20. Imperfect competition takes many forms. Outline FOUR features of retail trade as a form of monopolistic competition. 4mks



21. The proposed share capital of Bahati Company is Kshs. One million divided into:-

- i) Kshs.600,000 ordinary shares.
- ii) Kshs.400,000 preference shares.

The shares are divided into equal shares of Kshs. 10 each. In the period ending 31st Dec. 2000 they made a profit of kshs120,000. Find out how much was paid as dividend on ordinary shares if each of the preference shares was earning an extra sh.1. 4mks

22. State Four reasons to justify product promotion activities carried out by businesses 4mks

23. Highlight Four circumstances under which a business may fail to achieve the objectives set out by its owners 4mks

24. State Five reasons why John would prefer to obtain a loan from his sacco and not a commercial bank.



MARKING SCHEME

SAMPLE PAPER 8

565 / 1

BUSINESS STUDIES

1.
 - a) Return outwards journal
 - b) Sales journal / sales day book
 - c) Cash payment journal / petty cash book
 - d) General journal
2. Ways in which government creates an enabling environment
 - Passing legislation that support and promote business activities
 - Provision of credit through government institutions e.g. KIE
 - Provision of security
 - Offering tax incentive to encourage investment e.g. tax holidays, subsidies, tax exemptions for exports etc.
3. Difference between whole life and endowment policies
 - In whole life. Compensation is paid after death of the assured while in Endowment is paid after expiry of an agreed period.
 - In whole life premiums are paid through out the life of the assured whereas in Endowment. Premiums are paid only during an agreed period
 - In whole life benefits go to dependants in Endowment benefits go to the assured unless the assured dies before maturity of policy
 - Whole life is financial security to dependants , whereas Endowment is financial security to assured / dependants
4. Methods of controlling cost push inflation
 - Control cost of inputs
 - Control wage guidelines
 - Control prices of final products
 - Adopt more cost effective methods of production or mechanization



5. Limitations to use of credit cards

- Use restricted to only urban areas
- Only few business accept cards
- It is expensive to operate credit cards due to high interest charges.
- Cards are only for high income earners.
- Long procedures and requirements involved in getting credit cards

6.	TC	a – 30	MC	a – 0
		b – 38		b – 8
		c – 44.1		c – 6.1
		d – 48		d – 3.9

7. i) Gross profit

$$\text{Margin} = \frac{\text{GP}}{\text{Sales}} \times 100 \rightarrow \frac{25}{100} = \frac{\text{GP}}{920,000}$$

$$\rightarrow 100\text{GP} + 920,000 \times 25$$

$$\rightarrow 100 \text{ GP} = 23,000,000$$

$$\text{GP} = 230,000 \checkmark$$

ii) Cost of sales

$$\begin{aligned} \text{CGS} &= \text{Sales} - \text{Gp} \\ &= 920,000 - 23,000 \\ &= 690,000 \checkmark \end{aligned}$$

iii) Purchases for the year

$$\begin{aligned} \text{Purchases} &= \text{CGS} + \text{closing stock} - \text{opening stock} \\ &= 690,000 + 230,00 - 150,000 \\ &= 770,000 \checkmark \end{aligned}$$

iv) Net profit = GP – Expenses

$$\text{Expenses} = \frac{15}{100} \times 920,00 = 138,000$$

$$\begin{aligned} \text{Net profit} &= 230,000 - 138,000 \\ &= 92,000 \end{aligned}$$

8. Current trends and emerging issues in communication



12. Circular flow diagram

A- Taxes

B- Factor services

C- Taxes

D- Savings

13. Limitations of consumer initiated methods

- i) Lack of support from the government
- ii) Lack of capital to finance their organisations
- iii) Ignorance of consumers about their rights
- iv) Reluctance of many consumers to join the associations so that they may voice their complaints as a group
- v) Lack of initiative from consumers to check on traders performance and report cases of non compliance to quality and price.

14.

Wathiomo's Hotel

Statement of Affairs

As at 31st October 2005.

<u>Assets</u>	<u>Shs.</u>	<u>Liabilities</u>	<u>Shs.</u>
Cash at Bank	173,000✓	Creditors	42,000✓
Debtors	76,000✓	Rent Income in advance	35,000✓
Furniture	84,000✓	Insurance out standing	20,000✓
Stock	<u>160,000✓</u>	Capital	<u>396,000✓✓</u>
	<u>493,000✓</u>		<u>493,000</u>

15. a) **Comforts** are those which improve one 's living standards beyond the status of mere survival e.g. medical care, education, utensils.



Luxuries are goods and services that provide excessive comfort e.g. gold watches, expensive cars (1mk)

b) **Human resources** are services man renders either mentally or physically in production.

Man made resources are items / things that are created by man as he modifies natural resources into more useable states.

Definitions of terms

- 16.i) Bureaucracy – refers to the administration of a business / organization through departments and sub- divisions managed by officials following an inflexible route
- ii) Pilferage – Stealing of goods in bits (small quantities)
- iii) Ultra vires – acting beyond the set objectives of a company
- iv) De-industrialisation – the decline in manufacturing

17. Factors that influence the choice of distribution channel

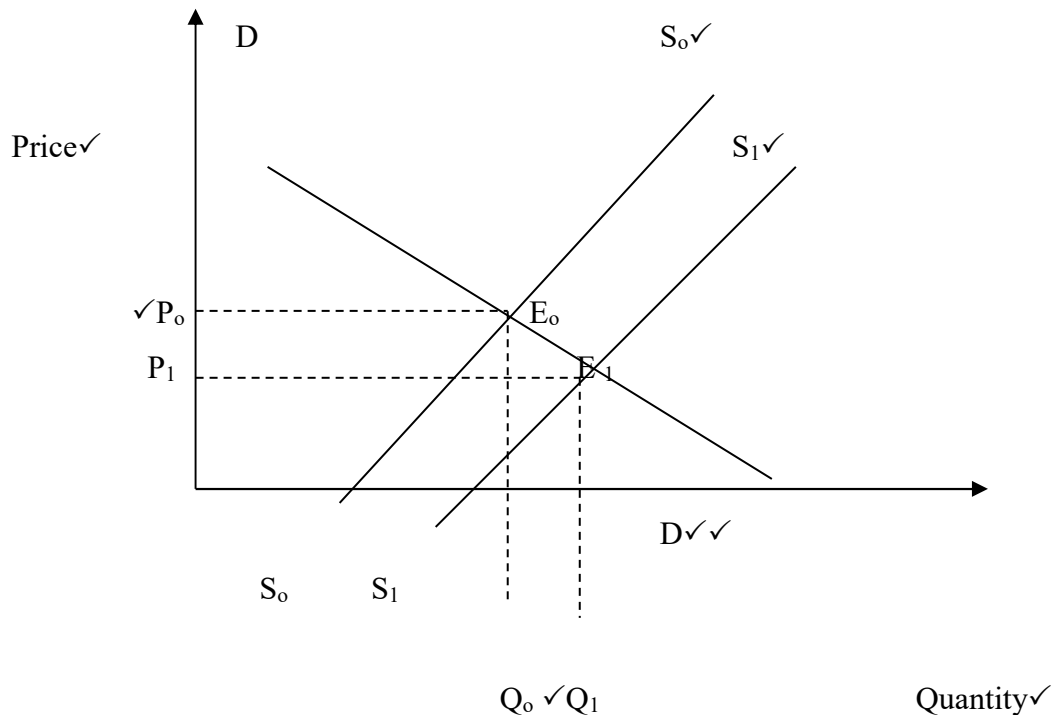
- i) Nature of product
- ii) Nature of market
- iii) The intermediaries
- iv) Resources and size of the firm
- v) Competitors
- vi) Environmental factors

18.

DR						CASH BOOK						CR			
DATE	DETAILS	FOLIO	DISC ALLOWED	CASH SHS.	BANK SHS.	DATE	DETAILS	FOLIO	DISC ALLOWED	CASH SHS.	BANK SHS.				
2004						2004									
Dec 1.	Balance	b/d		2000	39,800✓	Dec 1	Abdi	PL	1000✓		1900				
2	Habib	SL	200		9800✓	12	Insurance	GL		1150✓					
9	Sales	GL			3500✓	28	Rent	GL		1600✓					
22	Kimini	SL	125✓		6272	30	Cash	C			4000✓				
30	Bank	C			4000	31	Balance	c/d							
										3250.	36372✓				
			325	6000	59372				1000	6000	59,372				
Jan 1	Balance	b/d		3250✓	36372										



19.



N/B $Q_0 - Q_1$ brings about a change in price from $P_0 - P_1$ and P and Q ss

20. Features of retail trade as a form of monopolistic competition

- i) There are many independent buyers and sellers of a commodity
- ii) There is product differentiation
- iii) There are no barriers to entry into or exit out of the market
- iv) There is perfect knowledge of the market by buyers and sellers
- v) The motive of traders in this market is to produce excess capacity as opposed to surplus profit.

21. Dividend on ordinary shares:

Ksh. 1 million = 100 000 share units ✓

Ksh 400 000 = 40 000 share units✓

@ sh. 1 = Ksh 40 000✓✓

Balance on profit = KSH 80, 000✓

Therefore each share will earn ;

= Ksh 80 000



100 000

= 80 cts✓

Thus 60 ,000 (ord shares)

= 60,000 x 80cts

=Ksh 48 000✓✓

22. Reasons for product promotion

- i) To inform potential customers about product existence and quality
- ii) To persuade existing customers to continue buying and convince potential customers to chose the product.
- iii) To check competition from other businesses dealing in similar products
- iv) To establish a business image(goodwill) among existing and prospective customers
- v) To increase sales of a product.

23. Circumstances under which a business may fail

- i) When then is mismanagement of business resources / poor cash flow management.
- ii) If there is excess competition that may lead to low selling price
- iii) Where the production and operational costs are high / poor pricing and cannot be offset from profits earned.
- iv) When the market is too small a business may not meet its sales targets therefore reducing profitability
- v) Where then is inefficiency standards are comprised and customers are lost.
- vi) Where there is misuse of funds through misappropriation a business may fail
- vii) Wrong choice of business in terms of acceptability, finance, time. Market and ledgity
- viii) Failure to define and understand customers and their buying habit/ market.
- ix) Inadequate cash reserves / capital to support the business until such time profits are made
- x) Poor planning e.g. setting of unrealistic goals and lack of work schedule
- xi) Lack of delegation e.g. by not involving employees in decision making.

24. Reasons for taking loans from SACCOs and not commercial banks

- Saccos charge low rate of interest
- Have relaxed credit conditions
- Saccos have sense of ownership / shareholder
- Loans are insured under CIS is scheme (corporate insurance service scheme)
- Saccos offer diverse products



5mks

SAMPLE PAPER 9

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BUSINESS STUDIES

1. Rain water and cloth are basic human wants. State three characteristics of rain water that makes it different from a cloth. (3mks)
2. Classify the following costs into either fixed or variable costs. (4mks)
 - a. Rent.....
 - b. Raw materials. .
 - c. Fuel consumed. .



d. Insurance property.

3. State four indicators of business threats (4mks)
4. Highlight on four factors that may bring about improved national income of our country Kenya. (4mks)

5. The table below shows the description and the category of inflation. Fill in blank spaces the category of inflation described. (4mks)

DESCRIPTION	CATEGORY
(i) Has no effect on the output, employment or income distribution	
(ii) A period of high inflation and high unemployment	
(iii) The government can prevent it by using deliberate measures.	
(iv) Prices increase at steady rate over time.	

6. Highlight four factors that may lead to low taxable income capacities in developing countries. (4mks)
7. Describe four measures that one would take when the trial balance fails to balance. (4mks)
8. Below is a table showing population totals in Kenya for the years 1969, 1979, 1989 and 1999 population census.

YEAR	1969	1979	1989	1999
Total population	10,942, 705	15,327,061	21 ,443,636	28,686,607
% growth rate		4.0	3.9	3.3

- Give four reasons to account for the trend depicted above. (4mks)
9. List four documents which are required to be filled with the registrar of companies to facilitate registration of limited liability companies. (4mks)
10. State four reasons that may account for the existence of oligopoly markets. (4mks)
- 11 . Mention four benefits that consumers get from small-scale retailers. (4mks)
12. Under what three circumstances would a trader allow a customer to pay cash on delivery? (3mks)
13. Outline four disadvantages of devaluating a country's currency. (4mks)
14. The balance sheet below relates to Prime enterprises as at 1st July 2007.

PRIME ENTERPRISES

BALANCE SHEET

AS AT 1/7/2007

Cash in hand	32,000	Capital	190,000
--------------	--------	---------	---------



Stock	47,000	Bank overdraft	23,000
Buildings	143,000	2year loan	80,000
Debtors	26,000		
Land	150,000	Creditors	105, 000
	<u>398,000</u>		<u>398,000</u>

During the month of July the following transactions took place.

July 6 - Sold stock paid by cheque shs. 27,000

July 10 - Received cash shs. 18,000 from a debtor.

July 13 - Paid creditors cash shs. 95,000 from personal savings.

Required:

Prepare PRIME balance sheet as at 13-7-2007. (5mks)

15. Outline four circumstances under which a firm may be the sole supplier of a product in the market. (4mks)
16. List four ways in which public debts can be redeemed. (4mks)
17. (a) State the law of supply. (1mk)
(b) Highlight three circumstances under which a good may have inelastic demand despite price changes. (3mks)
18. Study the information below and answer the questions that follow.

ABC COMPANY LTD

NOTICE TO ALL MEMBERS

The meeting scheduled for 21/4/2008 has been postponed until further notice.

Managing Director

J K MWINAMO

- (a) What is the name of the document? (1mk)
- (b) State any feature of the document that makes you give it the above name. (1mk)
- (c) Give two advantages of using the above document. (2mks)
19. The following figures were extracted from Onyango's Trading account.

Opening stock	sh. 37,000
Mark-up 25%	
Purchases	210,000
Closing stock	39,000

Calculate:



a) Sales (3mks)

b) Stock turn over. (2mks)

20. Highlight four factors to be considered when determining the most suitable business opportunity from a variety of business ideas. (4mks)

21. Highlight four circumstances that make a country reluctant to join a trading bloc. (4mks)

22. The following journals relate to Malingumu traders In the year 2006

Purchases journal

Date	Details	Amount
June 2	Kinga traders	72,000
June 7	Kima traders	23,000
June 11	Salome traders	31,000

Purchases Returns journal

Date	Details	Amount
June 9	Kima traders	11,000
June 15	Salome traders	6,000
June 18	Kinga traders	4,720

From the above journals prepare Kinga's creditors ledger account and balance it. (4mks)

23. The following are functions of some departments in an organization. In the spaces below write the name of the department whose function is given. (4mks)

Function	Department
a) Processing payment	
b) Recruitment of workers	
c) Procuring of supplies	
d) Doing the overall management	

24. The following information was collected from the books of Namanga traders for the year ended 31st December 2006.

Debtors 31 st Dec 2006	42,300
Returns inwards	2,300
Bad debts written off	3,100
Discount allowed	4,600
Debtors Jan 1 st 2006	34,000
Cash sales	334,000
Dishonored cheque from debts	19,000
Discount disallowed	450
Receipts from debtors	198,000



Required: Determine the total sales for the year ended 31st Dec. 2006.

(4mks)

25. State the document to be applied in each of the following statements. (4mks)

STATEMENT	DOCUMENT
(i) A request by a seller for advance payment	
(ii) Used to correct undercharge in an invoice	
(iii) To reply to specific Setter of inquiry	
(iv) To inform the buyer when goods were dispatched and by what means	

MARKING SCHEME

SAMPLE PAPER 9

565/1

- Characteristics of water
 - It is a free good/ gift of nature
 - Has no monetary value/ non economic good
 - Available in abundance
- Classification of costs
 - Rent- fixed costs
 - Raw materials – variable cost
 - Fuel consumed/variable cost
 - Insurance property- fixed cost
- Threats of a business
 - Strong competitors
 - Unfavourable government policies
 - Political instability
 - Poor economy
 - Unfavourable population
- Factors that may improve the national income of a country
 - Availability of labour
 - Adequate capital



- Availability of entrepreneur
 - Availability of land
 - Advanced level of technology
 - The citizens positive attitude/ culture towards work
5. Categories of inflation
- i) Balanced inflation
 - ii) Stagflation
 - iii) Suppressed inflation
 - iv) Inertia inflation
6. Reasons for low taxable capacities in developing countries
- i. Low income / the level of income in developing countries is low and come from primary industries such as agriculture , mining, etc
 - ii. Unemployment // most developing countries are faced with the problem of unemployment meaning few employed are the only one who pay tax.
 - iii. Inequality in incomes/ in most developing countries few people live comfortable lives other lead poor lives that they can pay tax
- iv. Production structure / most developing countries are dominated by informal and agriculture sector in production. Majority of people in these sectors are not included in the tax bracket.
7. Step to be taken when the trial balance does not balance
- Check the omission of a debit or credit entry from the same transaction in the ledger accounts
 - Check the differing amounts for the same transaction and correct
 - Check the mistakes made during transferring the figures to the trial balance for all the transaction
 - Check the arithmetic mistakes made when balancing the ledger accounts
 - Check the arithmetic mistake made when summing up trial balance totals
8. Reasons for the population growth depicted by the table
- Improve medical care
 - Increased awareness of family planning
 - Increase in the level of education
 - Improved nutritional / better balanced diet
 - Break down of traditional taboos, beliefs and norms to attain high standards of living
9. Documents to be filled by registrar of companies for the formation of a limited liability company.



- Memorandum of association
- Articles of association
- List of directors
- Declaration
- Statement of agreement.

10. Sources of oligopoly power

- Barriers to entry due to huge initial capital investment
- A few firms controlling the sources of raw materials for the production of a particular commodity
- Few firms holding patents that relate to the technique of production of a particular commodity
- Aggressive and ruthless entrepreneur whose aim is to earn high profits
- Some few firms may be enjoying large economies of scale enabling them to produce at very low costs

11. Benefits consumers get from small scale retailers

- Get a variety of goods
- Credit facilities
- Advice on choice and use of the product
- Getting goods at convenient places
- Buys goods in small affordable prices
- After sales services

12. Circumstances under which cash on delivery may be used

- When a trader is contented with the credit worthiness of the customer
- When the customer is not new to the trader and the trader understands him/ her well
- When goods are not transported by public means

13. Disadvantages of devaluing a country's currency

- May lead to loss of confidence in the domestic currency
- May lead to reduced domestic savings
- May lead to deteriorating terms of sale
- leads to low prices of exports
- Makes imports relatively expensive
- It leads to inflation
- May discourage investment in the country due to high cost of production

PRIME ENTERPRISES



BALANCE SHEET' AS AT 13/7/2007

F.A				
Land	150,000		capital	190,000
Buildings	143,000	290,000	add investment	95,000
C.A			C.L	
Stock	20,000		bank overdraft	23,000
Debtors	8,000		2 years loan	80,000
Bank	27,000		creditors	10,000 113,000
Cash in hand	<u>50,000</u>	105,000		<u> </u>
		<u>398,000</u>		<u>398,000</u>

15. Circumstances under which a firm may be the suppliers

- If the firm is a single supplier of a single produce and is protected from foreign competition
- If the cost of transport is high and one firm happens to be near the market for the commodity
- If the government establishes a firm and gives it a monopoly
- As a result of amalgamation / combination or merger of firms
- If the firm has patent rights in the production of the commodity

16. Four ways in which public debts can be redeemed

- Write off/ the government may plead with the lending country to write off a loan
- Repudiation/ the government may refuse to repay a loan till it becomes a bad debt to be written off by the creditor.
- Surplus budget / if the revenue is more than the expenditure surplus revenue can be used to repay the loan
- Capital levy/ the government can collect some revenue from the well of citizens and use such money to repay debts
- Sinking funds/ government creates an account in which a certain amount of money is deposited for specified period of time after which it is withdraw and used to repay debts
- Convention/ the government can get a new source loan funds at a cheaper rates to repay the old loan

17. a) Law of supply

It states that holding other factors constant/ ceteris paribus , the higher the prices the higher the supply and vice versa.

b) Inelastic demand



- If the goods has no close substitute
- If the good is a necessity
- If the good takes an insignificant portion of the consumers income
- If it is a habitual good

18. a) Accounts/ finance department

b) Personnel department

c) Purchasing department

d) Administration department

19 (a) Calculation of sales.

Opening stock	37,000
Add purchases	<u>210,000</u>
GAFS	247,000
Less closing stock	<u>39,000</u>
Cost of goods sold	208,000✓
Mark up = $\frac{G.P}{C.O.G.S}$	$= \frac{25}{100} \times 208,000 = 52,000$ ✓

Sales = C.O.G.S + G.P = 208,000 + 52,000 = shs 260,000

(b) Calculation of stock turn over

$$\text{Stock turn over} = \frac{\text{COGS}}{\text{Average stock}} = \frac{208,000}{38,000} = 5.4783 = 5.5 \text{ times} \checkmark$$

20. Factors considered in determining a suitable business opportunity

- Whether the business will make enough profits
- Whether the business has potential for growth
- Whether the business will be accepted by the community
- The availability of the required technology
- The suppliers for the business to operate smoothly
- The legal requirement
- Whether it is possible to raise the required capital
- Availability of market
- The level of competition
- Availability of relevant labour

21. Circumstances that may make a country reluctant to join a trading bloc

- When a country does not expect to benefit due to similarity in commodities
- When a country fears political influence
- If the trade agreement is not in favour of the country



- if a country already exists in another trading bloc/ conflict of interests
- If the country wants to protect local industries
- Where there are political / religious / cultural differences
- Where the countries are at different level of development.

22.

Kingas creditors			
9/6/06 purchase returns	11, 000✓	2/6/06 purchase	72,000✓
18,6/06 purchase returns	4,720✓		
18/6/06 bal c/d	56,280✓		
	<u>72, 000</u>		<u>72,000</u>

23. a) finance/ accounts department
 Personnel department
 Purchases department
 Administration department

Namanga traders			
Debtors account			
Dr		Cr	
Bal. b/d	34,000	bad debts	3,100
Dishonoured cheque	19,000	discount allowed	4, 600
Discount disallowed	450	returns inwards	2,300
Sales	196,850	cash	198,000
	Bal. c/d	42,300	
	<u>250,300</u>		<u>250,300</u>

Credit sales 196, 850

Total sales = credit sales + cash sales

196, 850 + 334,000

Kshs 520,850

25.✓Pro- forma invoice

- ✓Debit note
- ✓Quotation
- ✓Advice note



SAMPLE PAPER 10

BUSINESS STUDIES

565/1

1. **State four** types of business activities. (4mks)

- (a)
- (b)
- (c)
- (d)

2. **Name four** differences between an invoice and a pro-forma invoice (4mks)

PROFORMA INVOICE	INVOICE
(a)	
(b)	
(c)	
(d)	

3. **State four** roles of technology in a business. (4mks)

4. **Outline four** circumstances that may lead to the dissolution of a company. (4mks)

5. Given the following information, open accounts in the ledger books of Wairegi Traders (4mks)

- (a) On 1st Jan. 2006, started a business with shs. 20,000 in the bank
- (b) Wairegi took four thousand shilling from the bank for paying school fees for his son on Jan. 10th 2006

6. **Define** the following terms,

- (a) Globalization (2mks)
- (b) Consumer protection (2mks)

7. **Identify four** internal economies of scale enjoyed by a business. (4mks)

8. **State four** causes of monopoly powers in a firm. (4mks)

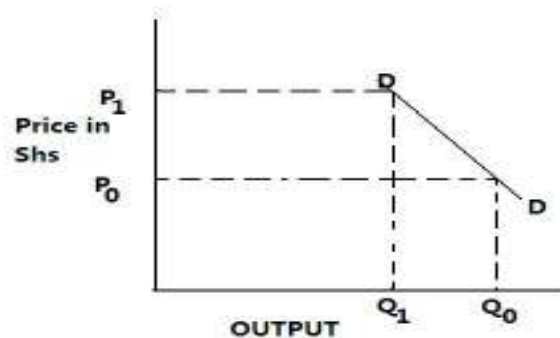
9. The following are terms used in trade; Loco price, F.O.R, Franco ,F.O.B. **Match** each term with the appropriate description. (4mks)

Description	Term
-------------	------



(a) Price quoted covers the goods as they Are in the sellers premises	
(b) Price quoted covers goods up to when they are in the ship	
(c) Price quoted covers cost of goods and any other expenses up to the buyers premises	
(d) Price quoted covers goods until they are loaded on rail	

10. **State four characteristics of fixed deposit** accounts. (4mks)
11. From the following information of Otieno, **prepare** trading profit and loss account for the year ended 31stDec 2006. (4mks)
- | | |
|--------------------|-----------|
| Sales | 1,200,000 |
| Cost of sales | 800,000 |
| Electricity | 200,000 |
| Rent | 10,000 |
| Motor car expenses | 16,000 |
12. **Outline four** causes of cost-push inflation. (4mks)
13. Containerization has become popular in Kenya. **List four** reasons why a businessman may not use it. (4mks)
14. Use the following diagram to calculate the price elasticity of demand. (4mks)
- Where price increases from p_0 to p_1



Assuming that $P_1 = 100$ shs., $P_0 = 50$ shs., $Q_1 = 150$ units, $Q_0 = 200$ units



15. **Outline four** forms of unethical practices in product promotion. (4mks)

16. Mr Oketch started a business six months ago. He started experiencing problems in the seventh month and gradually closed it down. **Outline four** possible reasons why the new business failed. (4mks)

17. **Outline four** roles of intermediaries in the chain of distribution. (4mks)

18. **State four** problems encountered in development planning at the implementation stage. (4mks)

19. **State four** factors that insurance companies consider when determining premiums to be charged. (4mks)

20. Jane purchased ten hens at kshs. 150 each, and sold them at kshs. 1 75 per hen. **Calculate:**

(a) Margin percentage (2mks)

(b) Mark-up percentage (2mks)

21. **State four** advantages of using office equipment over manual labour. (4mks)

22. In the blanks provided, name the sources documents required to prepare the mentioned books of original entry. (4mks)

Books of original entry	Source document
(a) Cash book	
(b) Pettycash	
(c) Purchases journal	
(d) sales journal	

23. **Outline four** benefits that a growing economy can get from entrepreneurship. (4mks)

24. **Define** the following lines of communication.

(a) Vertical communication (1mk)

(b) Horizontal communication (1mk)

(c) Formal communication (1mk)

(d) Informal communication (1mk)

25. A country wishes to know the structure of its population. **Give four** reasons for this



MARKING SCHEME

SAMPLE PAPER 10

565/1

1. Types of business activities

- Production of raw materials
- Processing of raw material/extraction
- Manufacturing
- Distribution of goods/trade
- Construction
- Provision of services

2. Differences between invoice & pro-forma invoice

Pro-forma invoice	Invoice
(i) Issued before goods are delivered.	Issued after goods are delivered



(ii) Shows total value of goods to be Bought	Shows total value of goods sold on credit
(iii) Used to demand for payment in advance before goods are bought	Used to demand for payment for goods bought on credit
(iv) Cannot be used to record in accounting Books	Used as source document in making entries in accounting books

3. Four roles of technology in business.

- Facilitates managerial control
- Simplifies business transactions
- Diversifies the types of commodities available
- Facilitates efficiency

4. Circumstances that *may* lead to dissolution of a company

- Insolvency
- Merging with a larger company
- Resolution by members
- Deregistration
- Expiry period of business operation
- Membership falling below the minimum required by law
- Failure to commence business within one year.

5.

DR

CAPITALA/C

CR

	Jan 1 Bank ✓20,000✓
DR	
BANK A/C	CR
Jan 1 capital✓ 20,000✓	
b	



Bank A/C	
Jan 1 capital 20,000	Jan 10 Drawings ✓4,000✓
Dr Drawings A/C	
Jan 10 .Bank ✓ 4,000✓	

6. Globalization - A situation where formally separate economic systems in different regions of the world are now operating as one unified system.

(b) Consumer protection- the methods that are applied and enforced by various parties to ensure that the rights and interests of consumers' are safe- guarded.

7. Internal economies of scale

- Marketing benefits
- Financial benefits
- Managerial benefits
- Research benefits
- Welfare benefits
- technical benefits

8. Causes of monopoly

- When a firm controls the supply of an important factor of production.
- Exclusive technical know-how in the production of a commodity
- Where initial capital outlay is large
- Where the government gives monopoly powers to a producer

9 a) Loco price

(b) F.O.B

(c) Franco

(d) F.O.R

10. Characteristics of fixed deposits accounts.

- Earn interest at an agreed rate
- Has a minimum amount



- Account-holder can withdraw all the amount on expiry deposit period
- If one withdraws the money before the required time he/she may lose the interest and be charged for breach of contract

11 Otienos trading, profit & loss A/C

Cost of sales ✓	800,000✓	Sales ✓	1,200,000✓
Gross profit ✓	400.000✓		
	<u>1,200.000</u>		1,200,000
Electricity ✓	200,000✓	Gross profit b/d	400,000
Rent ✓	10,000✓		
Motor car expenses ✓	16.000✓		
Total expenses	<u>226,000</u>		
Net profit ✓	174.000✓		
	<u>400,000</u>		400,000

12. Causes of cost-push inflation

- Increases in price of inputs
- Demand for higher wages
- Companies going for higher profits
- Unforeseen circumstances.

13. Reasons why a businessman may not use containerization

- Initial cost of manufacturing is high



- Require special machines for handling
- Contributed to unemployment
- Slow in transport
- It cannot transport irregular shaped goods
- Not suitable for small quantities of goods

14. Price elasticity of demand $= \frac{\text{change in qty}}{\text{change in price}}$ ✓

$$\text{Qty } Q_i - Q_o = 150 - 200 = -50 = -\frac{50 \times 100}{200} = -25 \checkmark$$

$$\text{Price} = P_i - P_o = 100 - 50 = 50 = \frac{50}{50} \times 100 = 100 \checkmark$$

$$\text{Ped} = \frac{-50}{50} = \frac{-25}{100} = (0.25) \checkmark \quad (4 \text{ ticks} \times 1 = 4)$$

15. Forms of unethical practices in product promotion

- False advertisements
- Making false claims about a products quality and effectiveness
- With holding real advertised products and releasing counterfeit products
- Dealing on the positive side of a product leaving the negative side
- Use of pornographic literature on advertisements
- Use of prizes to be won which may not exist

16 Reasons why the new business failed

- Lack of market
- Lack of capital
- Lack of entrepreneurship skills
- Poor customer relations
- Poor allocation of resources

17. Roles of intermediaries in the chain of distribution

- Provides a link between producers and consumers
- Offer advice to producers/consumers
- Offer regular supplies and easy access of needed goods.



- May offer credit facilities
- May engage in product promotion.

18. Problems encountered in development planning at the implementation stage.

- Lack of domestic resources.
- Natural calamities
- Over ambitious plans
- Reliance on donor funding which may fail
- Inflation
- Lack of political will or commitment
- Failure to involve local people in planning

19. Factors considered when determining premiums to charge.

- Period for which insurance cover is to last
- Conditions that are likely to increase the probability of the risk occurring
- The risks against which the insurance cover is required
- The type of policy
- The health of the assured,
- Value of the property or the matter to be insured

$$20. \text{Margin \%} = \frac{G.P}{Sales} \times 100 \quad = 150 \times 10 = 150$$

$$175 \times 10 = 1750 \checkmark$$

$$G.P = 175 - 150 = 25 \checkmark$$

$$\frac{250}{1750} \times 100 \checkmark$$

$$14.3\% \checkmark$$

$$\text{Mark up} = \frac{G.P \times 100}{Cost of sales} \checkmark$$

$$= \frac{250 \times 100}{1500} \checkmark$$

$$16.7\% \checkmark \checkmark$$

21. Advantages of using office equipments.

- Can perform work meant for many people



- Employment of fewer workers thus less salary paid
- Are faster and can perform repeatedly
- Are accurate
- Can produce uniform/standardized goods of high quality.

22. Sources documents

- Cash sales receipt
- Voucher
- Invoice

23. Four benefits of entrepreneurship.

- Creation of jobs
- A wide variety of goods/services
- Development and improvement of country's infrastructure
- Increase in national income

24. Vertical communication

- Messages are passed between the senior and the junior staff in the same organization.

(b) Horizontal communication- messages are passed between people of the
Same rank in the same organization

(c) Formal communication- messages are passed using approved and recognized ways
in an organization

(d) Informal communication- messages are passed without following the
right channels or the right form

25. Reasons for wanting to know structure of population

- To know the size of the economically active portion of the population
- To plan for social amenities.
- To provide infrastructure
- To plan for security.